

Federal Republic of Somalia

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Addressing Climate Change Challenges for Economic Growth



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ABBREVIATIONS

AfDB	African Development Bank	ICPAC	IGAD Climate Prediction and Applications Center
AMISOM	African Union Mission in Somalia	IDPs	Internally Displaced Persons
AML/CFT	Anti-money Laundering and Combating the Financing of Terrorism	IMF	International Monetary Fund
AS	Al-Shabaab	JSS	Jubaland State of Somalia
ATMIS	Africa Union Transition Mission in Somalia	KYC	Know Your Customer
CBS	Central Bank of Somalia	MDAs	Ministries, Departments and Agencies
DMU	Debt Management Unit	MDB	Multilateral Development Bank
DRM	Disaster Risk Management	MENA-FATF	Middle East and North Africa Financial Action Task Force
EAC	East Africa Community	MMO	Mobile Money Operator
ECF	Extended Credit Facility	MTB	Money Transfer Bureau
EMDEs	Emerging Markets and Developing Economies	ND-GAIN	Notre Dame Global Adaptation Initiative
EEZ	Economic Exclusion Zone	NDC	Nationally Determined Contribution
EP&R	Emergency Preparedness and Response	NDP9	National Development Plan for 2020–2024
ESP	Energy Service Providers	NEOC	National Emergency Operations Center
FAO	Food and Agriculture Organization	ODA	Official Development Assistance
FDI	Foreign Direct Investment	PFM	Public Financial Management
FEWS NET	Famine and Early Warning Systems Network	PSS	Puntland State of Somalia
FGS	Federal Government of Somalia	RVF	Rift Valley Fever
FMS	Federal Member State	SATG	Somalia Agriculture Technical Group
FSNAU	Food Security and Nutrition Analysis Unit	SODMA	Somalia Disaster Management Agency
GCF	Green Climate Fund	SOMCAS	Somalia Customs Automated System
GDP	Gross Domestic Product	SPEI	Standardized Precipitation Evapotranspiration Index
GEF	Global Environmental Fund	SSA	Sub-Saharan Africa
GHG	Greenhouse Gas	SWS	South-West State of Somalia
GSS	Galmudug State of Somalia	UHI	Urban Heat Island
HCT	Humanitarian Country Team	VCFs	Vertical Climate Funds
HIPC	Heavily Indebted Poor Countries	WASH	Water, Sanitation, and Hygiene
HIPC CP	Heavily Indebted Poor Countries Completion Point	WBG	World Bank Group
HSS	Hirshabelle State of Somalia	WTO	World Trade Organization
HWG	Hydromet Working Group	y-o-y	Year-on-Year

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FOREWORD

Over the last year, Somalia has continued taking important steps towards a stronger economy and more resilient institutions. In December, Somalia qualified for full and irrevocable debt relief under the Highly Indebted Poor Countries (HIPC), eliminating the debt burden that had plagued the country for over three decades. It also joined the East Africa Community (EAC), the 30-year UN arms embargo was lifted, and Somalia was elected to a non-permanent seat at the UN Security Council in June 2024. These are huge achievements, which should also help boost investor confidence and attract foreign direct investment, encouraging increased broad-based private sector activity and investment.

At the same time, the impacts of climate change continue to devastate the country. Somalia slowly started to emerge from the severe 2022 drought, but was hit by devastating floods later in the year and early 2024. Somali households are also frequently exposed to shocks, with over two-thirds of the country's population reported having experienced at least one shock in 2021–2022 that severely affected their economic situation. Climate-induced displacements, heightened conflicts over scarce natural resources, and increased vulnerability among marginalized groups like rural populations, women and youth exacerbate the country's fragility.

In this context, economic prospects for Somalia are improving although the pace of economic growth remains modest. As such, we see that the economy is rebounding, inflationary pressures have eased, and fiscal performance has improved. The outlook remains positive, with economic growth set to accelerate, albeit at modest pace. Nevertheless, despite Somalia's steps toward recovery, the outlook poses significant risks, including global economic shocks, climate-related shocks, and security threats.

The 9th edition of the World Bank's Somalia Economic Update (SEU) assesses key economic developments, prospects, and policies in Somalia. The Update is intended for a wide audience including policy makers, business leaders, the community of analysts and professionals engaged in economic debate, and the public.

This SEU addresses climate change challenges for economic growth. It highlights the urgent need of the Government of Somalia to support sustained and long-term growth, anchored on macroeconomic stability and broad-based structural reforms, while laying the groundwork for sustainable development and enhanced climate resilience, ensuring a more secure future for its people.

Kristina Svensson

Country Manager, World Bank Somalia

Sanadkii la soo dhaafay, Soomaaliya waxay sii waday qaadista tallaabooyin muhiim ah dhanka dhaqaale xoogan iyo hayadaha adkaysiga badan. Diisamabar, Soomaaliya waxay u qalantay ka dhaafida buuxda oo aan laga noqon karin ee daynta si waafaqsan Wadamada Saboolka ah ee Daynka Badan Lagu leeyahay (HIPC), taas oo baabiisay culayskii daynta ee wadanka haysatay in ka badan sodon sanadood. Waxay sidoo kale ku biirtay Bulshada Bariga Afrika (EAC), cunaqabataynta hubka Qaramadda Midoobay ee 30 sanadood ahayd oo la qaaday, iyo Soomaaliya oo loo doortay kursiga aan joogtada ahayn ee Gollaha Amniga Qaramadda Midoobay gudaha Juun 2024. Waxaa jira guulo la soo hooyay oo way, taas oo sidoo kale caawinaysaa xoojinta kalsoonida maalgeliyaha oo soo jiidata maalgelinta tooska ah ee ajnabiga ah, oo dhiirigelisa korodhka hawsha qaybta ganacsiga gaarka ah ee salka ballaadhan iyo maalgelinta.

Isku wakhti, saamaynta isbeddelka cimiladu waxay sii burburisaa wadanka. Soomaaliya si aayar ah ayay uga soo baxday abaartii 2022, laakiin ka dib waxaa ku dhufatay daadad burburin badan sanadkii iyo horaantii 2024. Qoysaska Soomaalida ah waxaa inta badan sidoo kale soo gaadha jugaha, iyaddoo labba ka mid ah saddexdiiba mujtamaca wadanka la sheegay inay la kulmaan ugu yaraan hal jug ama dhib ah sanadihii 2021–2022 oo si daran u saamaysay xaaladooda dhaqaale. Barakaca ka yimaada cimilada, khilaafyada sare u kaca ee ku saabsan ilaha dabiiciga gabaabsiga ah, iyo nuglaanshaha kordhaya ee kooxaha la faquuqo sida mutamaca baadiyaha, haweenka iyo dhalin yarada ayaa sii xumeeya itaal darada wadanka.

Xaaladan, rajooyinka Soomaaliya way horumarayaan in kastoo socodka koboca dhaqaalahu uu weli hooseeyo. Sidaasna, waxaanu arkaynaa dhaqaalahu inuu dib u soo kacayo, cadaadiska sicir bararkuna uu khafiifay, oo qaabka bandhiga maaliyadeedna uu horumaray. Saadaashu weli waa ay wanaagsan tahay, iyaddoo koboca dhaqaalahuna sii kordhayo, haba ahaato qaab gaabisa ah. Taas ka sakow, tallaabooyinka Soomaaliya ka sakow dhanka soo kabashada, rajadu waxay keentaa khataro wayn, ay ku jiraan jugaha dhaqaalaha caalamiga ah, jugaha cimilada la xidhiidha, iyo khataraha amniga.

Daabacaada 9^{aad} ee Baanka Adduunka Cusboonaysiintiisa Dhaqaalaha Soomaaliya (SEU) waxay qiimaysaa horumarka dhaqaalaha muhiimka ah, filashooyinka, iyo siyaasadaha gudaha Soomaaliya. La socodsiinta waxaa loogu talo galay dad aad u badan inay gaadho oo ay ku jiraan go'aan gaadhayaasha siyaasada, hogaamiyayaasha ganacsiga, faaqidayaasha qaab bulsheedka iyo xirfad yaqaanada ka qayb gala doodda dhaqaalaha, iyo ta dad waynaha.

SEU waxay wax ka qabataa caqabadaha isbeddelka cimilada ee koboca dhaqaalaha. Waxay muujisay baahida degdega ah ee Dowladda Soomaaliya si loo taageero koboca waara iyo ka xiliga dheer, iyaddoo ay taageerayso degenaanshaha dhaqaalaha oo dhan iyo dib u habaynta qaab dhismeedka ku salaysan gebi ahaan, marka la dhisayo seeska horumarka waara iyo adkaysiga cimilada sare loo qaaday, oo xaqiijinaysa mustaqbal aad u amni ah oo dadkiisa ah.

Kristina Svensson

Maamulaha Wadanka, Baanka Adduunka Soomaliya



EXECUTIVE SUMMARY

Somalia's economy rebounded in 2023 as the country emerged from the severe 2020–23 drought and the 2022 global commodity price shocks.

Real gross domestic product (GDP) growth is estimated at 3.1 percent in 2023, up from 2.4 percent in 2022. Favorable rains starting in April 2023 led to improved agricultural production, reduced food insecurity, and served to support private consumption. The recovery in exports was faster than expected as livestock exports—the key driver of export earnings—rebounded with improved weather conditions. Nevertheless, net exports continue to be a drag on growth as the economy heavily relies on imports. Private sector credit growth strengthened construction, real estate, and investment. However, remittances, which support consumption, investment, and terms of trade, were muted in 2023, reflecting tighter global economic conditions.

Inflationary pressures eased, supported by a recovery in the agriculture sector and declining global commodity prices.

Overall inflation, however, remained sticky compared with pre-2022 levels, averaging 6.1 percent in 2023 compared with 6.8 percent in 2022. Recovery in agricultural production helped to ease local staple food prices, with food inflation averaging just 0.7 percent in 2023, compared with 13.9 percent in 2022. The decline in global commodity prices led to lower fuel and energy prices locally, though still high compared with pre-2022 levels, contributing to the stickier overall inflation. This is compounded by increasing local house rents, and telecommunication services, mainly from telephone and telefax equipment price increases, and transportation costs. The economy's de facto dollarization continues to be a source of price

stability, especially in times of low and stable global commodity prices. The exchange rate (Somali shilling [SSh] to the US dollar) remained relatively stable, averaging SSh 27,201 to US\$1.00 in 2023.

The Federal Government of Somalia (FGS) has continued to maintain broad-based fiscal stability, even though challenges remain.

Fiscal performance improved in 2023, driven by sustained domestic revenue mobilization efforts. As a result, the budget closed with a small surplus, but fiscal challenges remain as domestic revenues

continue to be too low to cover the country's huge development needs. While domestic revenues increased to 2.8 percent of GDP in 2023, up from 2.5 percent in 2022, this accounts for 45 percent of the FGS's total revenues, leaving a large share of public expenditures to be financed by external grants. Donor grants accounted for 55 percent of

total revenues in 2023. Furthermore, almost all expenditures are recurrent and non-discretionary, with wage bill and security costs consuming most of the total FGS spending. Spending on social services is financed through external grants. In this regard, the FGS's capacity to finance investments that could reduce poverty or increase economic growth is limited.

Somalia achieved a historic debt relief milestone in December 2023, eliminating the debt burden that had plagued the country for over three decades.

The country received full and irrevocable debt relief of US\$4.5 billion, almost wiping out all of Somalia's external debt, which is estimated to have fallen to 5.4 percent of GDP in 2023, down from 64 percent in 2018. In the post-Heavily Indebted Poor Countries (HIPC) environment,

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Favorable rains starting
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private consumption

Somalia now has expanded opportunities to finance investments in development priorities and expand basic service delivery. Nevertheless, the FGS must continue taking important steps to avoid falling back into debt distress. The authorities will need to continue to strengthen macroeconomic institutions, strengthen debt management capacity, and rely on concessional borrowing to allow the country to continue domestic reforms to boost growth and strengthen public finances. The Government's commitment to maintain fiscal discipline and increase domestic revenue, together with structural reform in key areas, will help to safeguard long-term debt sustainability.

The country has also made significant strides toward regional integration.

Somalia was admitted into the East Africa Community (EAC) bloc on November 24, 2023, and became a full member on March 4, 2024. It is also making progress toward joining the World Trade Organization (WTO). These efforts are seen as opening up opportunities to enhance trade integration in the region and globally. For example, by joining the EAC, Somalia has gained access to a market of over 300 million people, bringing opportunities for economic expansion, diversification, and job creation.

Medium-Term Outlook and Risks

The recovery in economic growth is projected to continue into the medium term. Real GDP growth is projected to expand to 3.7 percent in 2024 and 3.9 percent in 2025. This is due to the continued rebound in household demand, domestic investment, and government spending. Average Gu and Dyer rains in 2024 are projected to lead to continued recovery of agricultural productivity, improve household incomes and food security, and boost exports in 2024 and 2025. This, coupled

with further easing in global commodity prices and continued social protection measures, will cushion household incomes, especially among the vulnerable, supporting private consumption growth. Economic reforms and increased public investment with Heavily Indebted Poor Countries Completion Point (HIPC CP) dividends will boost investor confidence and attract foreign direct investment (FDI), encouraging increased broad-based private sector activity and investment.

Nevertheless, despite Somalia's steps toward recovery, the outlook poses significant risks, including global economic shocks, climate-related shocks, and security threats.

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Weather volatility is a perennial source of risk, with extreme climate events such as droughts and floods, as experienced recently, likely to mute ongoing agricultural recovery, in turn reversing or slowing overall growth

A further slowdown in global growth could contribute to inflationary pressures, pushing up commodity prices once again. Given Somalia's dependence on imports, especially consumption goods, higher prices from trading partners will pass through to domestic prices, adding to inflationary pressures and suppressing economic activity. Higher oil prices would increase Somalia's import bill, weakening its already vulnerable external sector. A slowdown in the global economy would also likely contribute to a further weakening of remittance inflows from Somalia's large diaspora, affecting private consumption and investment. Importantly, weather volatility is a perennial source of risk, with extreme climate events such as droughts and floods, as experienced recently, likely to mute ongoing agricultural recovery, in turn reversing or slowing overall growth. Similarly, insurgency and conflict continue to pose risks to economic activity. Terrorist attacks by Al-Shabaab (AS) continue to threaten the security situation, discouraging potential domestic and foreign investors, and putting more pressure on the FGS to increase government spending on security.

Somalia Climate Change and Adaptation Policy Actions

Somalia has witnessed severe climate disasters and faces a multitude of climate risks, which pose a serious threat to its future economic development, industrialization, trade, and urban development. Climate has shaped Somalia's human geography and economy, and climate change and variability are major contributors to ongoing fragility. The interplay between climate impacts and Somalia's social and political fragilities amplifies the risks. The country has witnessed severe climate disasters, notably the longest drought in recent decades, followed by severe flooding in vulnerable areas. There is some overlap in climate risk and poverty rates, with the poor vulnerable to climate change concentrated in the Shabelle river basin (floods), the northeast (heat) and, more broadly Somalia (three risks). Somalia is highly vulnerable to climate shocks that hurt growth and hinder poverty reduction efforts. Frequent shocks including repeated climate-related events, such as cycles of droughts, floods, and locust infestations, have interrupted the country's economic trajectory. As a result, growth has been low and volatile, exacerbating the high levels of poverty across the country. Acute climate disasters, especially prolonged droughts and inland flooding can have wide-ranging social and economic consequences on production and exports, food security, and social vulnerability and cohesion.

The cycles of extreme events—droughts and floods—are the most obvious and currently impactful manifestation of climate change and climate variability. Impacts are remarkably widespread, but particularly severe on rural and pastoral households, and are a major driver of rural-urban migration. Somali households are frequently exposed to shocks, with over two-thirds of the country's population reportedly

having experienced at least one shock in 2021 or 2022 that severely affected their economic situation. Climate-induced displacements, heightened conflicts over scarce natural resources, and increased vulnerability among marginalized groups, especially rural populations, women, and youth, exacerbate the country's fragility.

Somalia needs to get ahead of the impacts of acute climate disasters by investing in resilience and preparedness rather than ex-post spending on humanitarian aid, which continues to consume the bulk of external assistance. This will

require investments in disaster risk management (DRM), social protection, and more resilient rural livelihood systems (potentially including future retreat from some areas where livelihood systems are no longer viable). Furthermore, as Somalia navigates rapid urbanization, partly driven by climate-induced vulnerabilities in rural areas, climate-proofing development requires a broader set of policy actions and investments. These include resilient infrastructure and livable cities

through climate-smart urban planning that ensures sustainable energy, transport, and water services, and includes green spaces and reduces urban heat islands. Investments in public health and human capital, such as post-disaster emergency health provision, disease vector monitoring and control programs, health and safety regulations for public buildings and workspaces, and public awareness campaigns, are also required.

Extreme events are unlikely to reduce in the foreseeable climate future, but the burden of climate impacts will shift. Climate resilience will need to be fully mainstreamed into Somalia's development. Demographic and development trends will expose more urban and infrastructure assets to flood hazards, and shifting climate conditions will put more chronic stress on

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Climate resilience
will need to be fully
mainstreamed into
Somalia's development

livestock and agricultural systems, human health and productivity, and the water supply. Longer-term resilience to climate change at the whole-of-economy level depends not only on diversification away from inherently climate-dependent rural production sectors, but also on addressing climate risks in growth sectors. To avoid building vulnerability into Somalia's development, it will be necessary to invest in resilient infrastructure and services, livable cities (designed with green spaces and efficient cooling solutions, as well as flood protection), and in human development to counter climate impacts on health and access to education.

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Longer-term resilience to climate change at the whole-of-economy level depends on diversification away from inherently climate-dependent rural production sectors, and addressing climate risks in growth sectors

To enhance resilience, it is crucial to address the nexus between climate stressors, social fragility, and conflict.

This involves inclusive planning and integration of peacebuilding efforts with climate adaptation measures, ensuring that the needs of the most vulnerable are met. By focusing on the intricate links between climate change, social vulnerabilities and conflict, Somalia can lay the groundwork for sustainable development and enhanced climate resilience, ensuring a more secure future for its people.

Dhaqaalaha Soomaaliya dib ayuu sare ugu soo kacay sanadkii 2023 marka uu wadanku ka soo baxay abaartii darnayn ee 2020–23 iyo 2022 jugihii qiimaha alaabta caalamiga ah. Koboca wadarta maxaliga ah ee runta ah (GDP) waxaa lagu qiyaasay 3.1 boqolkiiba sanadka 2023, ilaa 2.4 boqolkiiba 2022. Roobabkii faa’iidada lahaa ee bilaabmaya Abriil 2023 ayaa keenay wax soo saarka beeraha oo horumarsan, yareeyayna amni darada cuntadda, oo u adeegay taageerada qaybta gaarka ah ee isticmaalka iyo wax iibsiga. Soo kabashada waxyaabaha la dhoofiyo waxa uu ka degdeg badnaa intii la filayay sida dhoofinta xoolaha nool—sababaha muhiimka u ah lacagta ka soo xeroota waxyaabaha la dhoofiyo—ayaa sare u soo kacday markii xaaladaha cimiladuna soo wanaagsanaadeen. Intaa ka sakow, qiimaha wadar ahaan waxa la dhoofiyay ayaa weli dhib ku ah koboca maadaama dhaqaalahu si wayn ugu tiirsan yahay waxyaabaha la soo dhoofsado. Waxay sidoo kale kordhisay koboca qaybta dhismaha, dhisida guryaha, iyo maalgelinta. Si kastaba ha ahaatee, lacagaha xawaalada, oo taageerta wax iibsiga, maalgelinta, iyo qaababka ganacsiga, waxa ay istaagtay 2023, iyagoo muujinaysa xaaladaha dhaqaalaha aalamiga ah ee adag.

Cadaadiska sicir bararku wuu khafiifay, waxaana taageeray soo kabashada qaybta beeraha iyo hoos u dhaca qiimaha alaabta caalami ahaan. Sicir bararka guud ahaaneed, si kastaba ha ahaatee, waa uu sii kordhay marka la barbar dhigo heerarkii ka horeeyay 2022, celcelis ahaan gaadhay 6.1 boqolkiiba sanadka 2023 marka la barbar dhigo 6.8 boqolkiiba sanadka 2022. Soo kabashada wax soo saarka beeraha ayaa caawiyay khafiifinta qiimaha cuntada maxali ahaan lama huraanka ah, iyaddoo sicir bararka cuntadda celcelis ahaan ay ahayd 0.7 boqolkiiba sanadkii 2023, marka la barbar dhigo 13.9 boqolkiiba sanadkii 2022. Hoos u dhaca qiimayaasha alaabta ee caalmiga ah waxay keentay qiimaha shidaalka iyo tamarta maxali ahaan oo hoosaysa, in kastoo ay sarayso marka la barbar dhigo heerarkii ka horeeyay 2022, taas oo ka qayb

qaadatay korodhka sicir bararka gebi ahaantiis. Waxaana tan sii kiciya korodhka kirada guriyaha maxaliga ah, iyo adeegyada is gaadhsiinta, muhiim ahaan kordhka qiimaha qalabka telefoonka iyo telefagaska, iyo kharashyada is gaadhsiinta. Doolar ku salaynta dhaqaalaha ayaa sii ahaata isha degenaanshaha qiimaha, gaar ahaan wakhtiyada qiimayaasha alaabta hoosaysa ee caalami ahaan degen. Sarifka lacagta (Shilinka Soomaaliga ah [SSH] loo beddelayo Doolarka Maraykanka) aad ayay u sii degenayn, celceliska SSH 27,201 ilaa US\$1.00 sanadka 2023.

Dowladda Federaalka Soomaaliya (FGS) waxay sii waday inay ilaaliso degenaanshaha maaliyada ee salka ballaadhan, xataa in kastoo caqabado jiraan. Qiyaasta wax qabad ee maaliyada way horumartay sanadkii 2023, iyaddoo ay wado dedaalada isku keenida dakhliga gudaha wadanka oo waara. Natiijo ahaan, miisaaniya waxa ay ku xidhan tahay dheeraad yar, laakiin caqabadaha maaliyadu weli way jiraan maxaayeelay dakhliyada gudaha wadanka ayaa aad uga sii hooseeya inay daboolaan baahida horumarka wayn ee wadanka. Marka dakhliga gudahu uu kordhay ilaa 2.8 boqolkiiba GDP sanadkii 2023, ilaa laga bilaabo 2.5 boqolkiiba sanadkii 2022, tani waxay ka dhigan tahay ilaa 45 boqolkiiba wadarta dakhliga FGS, iyaddoo saami wayn u dhaaftay kharashyada dad waynaha ay maalgelinayaan deeqaha dibada ahi. Deeqaha deeq bixiyayaashu waxay ahayd ilaa 55 boqolkiiba wadarta dakhliyada sanadka 2023. Intaa waxa dheer, ugu badnaan dhammaan kharashyada dib ayay u soo noqdaan oo waana kuwa lama huraan ah in la bixiyo, iyaddoo mushaharka iyo karashyada amnigu ay qaateen badanka wadarta kharash garaynta FGS. Kharash garaynta adeegyada bulshadda waxaa lagu maalgeliyaa dhexda deeqaha dibada ah. Si la xidhiidha qodobkan, awooda FGS in la maalgeliyo waxyaabaha la maalgeliyo ee yarayn kara saboolnimada ama kordhiya koboca dhaqaalahu way xadidan yihiin.

Soomaaliya waxay gaadhay heerka dayn ka dhaafida taariikhiga ah Diisambar 2023, iyaddoo ka takhalustay culayska daynta wadanka haysatay wax badan sodon sanadood. Wadanku waxa uu helay dayn ka dhaafida US\$4.5 balyan, ugu badnaan la masaxay dhammaan daynkii dibada Soomaaliya, taas oo lagu qiyaasay inay hoos ugu dhacday 5.4 boqolkiiba GDP sanadkii 2023, hoos laga bilaabo 64 boqolkiiba sanadkii 2018. Deegaanka ka dib Wadamada Saboolka ah ee Daynka badan Lagu leeyahay (HIPC), Soomaaliya waxay kordhisay fursada in la maalgeliyo waxyaabaha la maalgelinayo ahmiyadaha horumarka ah iyo in la ballaadhiyo gudbinta adeega aasaasiga ah. Intaa ka sakow, FGS waa inay sii wadaa qaadista tallaabooyinka muhiimka ah si la isaga ilaaliyo in dhibta daynka dib loogu noqdo. Masuuliyiintu waxay u baahan doonaan inay sii wadaan xoojinta haydaha dhaqaalaha guud ahaaneed, inay xoojiyaan awooda maaraynta daynka, oo ay ku tiirsanaadaan soo amaahashada tanaasulka leh si loo oggolaado wadanku inuu sii wado dib u habbaynta gudaha wadanka si loo xoojiyo koboca oo loo xoojiyo maaliyada dad waynaha. Ballan qaadka dowladda ee in la sii wado dheelitiranka dhaqaalaha ee kharashka iyo dakhliga iyo korodhka dakhliga gudaha, oo ay la socoto dib u habbaynta qaab dhismeedka dhinacyada muhiimka ah, waxay caawin doontaa iaalinta waaritaanka daynka xiliga dheer.

Wadanku sidoo kale tallaabo wayn ayuu u qaaday dhanka is dhexgalka goboleed. Soomaaliya waxaa loo oggolaaday kooxda Bulshadda Bariga Afrika (EAC) Noofambar 24, 2023, oo waxa ay noqotay xubin buuxda Maarso 4, 2024. Waxay sidoo kale horumar ka samaynsaa dhanka ku biirida Ururka Ganacsiga Adduunka (WTO). Dedaaladan waxaa loo arkaa inay furayso fursado sare loogu qaadayo is dhexgalka ganacsi ee gudaha gobolka iyo caalami ahaanba. Tusaale ahaan, markay ku biirto EAC, Soomaaliya waxay soo gashay suuq dadka ka badan 300 malyan, taas oo u keenaysa fursadaha is ballaadhinta dhaqaalaha, kala duwanaanshaha, iyo shaqo abuurka.

Muuqaalka iyo Khataraha Xiliga Dhexe

Soo kabashada koboca dhaqaalaha waxaa la filayaa inuu sii socda xiliga dhexe. Koboca dhabta ah ee GDP waxaa la filayaa inuu kordho ilaa 3.7 boqolkiiba sanadka 2024 iyo 3.9 boqolkiiba sanadka 2025. Tan waxaa sababay dib sare ugu kaca dalabka qoyska, maalgelinta gudaha wadanka, iyo kharash garaynta dowladda. Celceliska roobabka Gu'ga iyo Dayrta sanadka 2024 waxaa la filayaa inay keento soo kabasho joogto ah oo wax soo saarka beeraha ah, inay horumaraan dakhliyada qoyska iyo werwer la'aanta helida cuntadda, iyo kordhinta dhoofinta sanadka 2024 iyo 2025. Tan, iyaddoo ay ku lamaantahay si aad ah u sii khafiifinta qiimayaasha alaabta caalamiga ah iyo tallaabooyinka ilaalinta bulshadda joogtada ah, waxay hoos u dhigi doontaa dakhliyada qoyska, gaar ahaan kuwa nugul, taageerida koboca isticmaalka gaarka ah. Dib u habbaynta dhaqaalaha iyo maalgelinta dad waynaha kodhay ee Qodobka Dhammaystirka Wadamada Saboolka ah ee Daynka badan lagu leeyahay (HIPC CP) macaash qaybsigu waxa uu xoojin doonaa kalsoonida maalgeliyaha oo waxa uu soo jiidanayaa maalgelinta tooska ah ee ajnabiga (FDI), oo dhiirigelinaysa korodhka hawsha qaybta ganacsiga gaarka ah ee salka balaadhan iyo maalmgelinta.

Taas ka sakow, tallaabooyinka Soomaaliya ka sakow dhanka soo kabashada, rajadu waxay keentaa khataro wayn, ay ku jiraan jugaha dhaqaalaha caalamiga ah, jugaha cimilada la xidhiidha, iyo khataraha amniga. Hoos u dhaca dheeraadka ah ee koboca dhaqaalaha ayaa ka qayb qaadan kara cadaadiska sicir bararka, korodhka qiimayaasha alaabta mar labbaad. Iyaddoo ay cadahay ku tiirsanaanta Soomaaliya ee waxyaabaha la soo dhoofsado, gaar ahaan alaabta la isticmaalo, qiimayaasha dheeraadka ah ee ka soo baxa shuraakada ganacsiga waxay u gudbi doontaa qiimayaasha wadanka gudahiisa, iyagoo kordhinaya cadaadisayada sicir bararka iyo xayirida hawsha dhaqaalaha. Qiimayaasha shidaalka qaaliga ah waxay kordhin doonaan lacagta wax soo dejinta ee Soomaaliya, waxayna

daciifin doonaa qaybta dibada ah ee nugul. Hoos u dhaca dhaqaalaha adduunku sidoo kale waxa dhici karta inuu ka qayb qaato daciifinta dheeraadka ah ee qulqulka lacagta xawaalada qurba jooga Soomaaliya uga timaada, iyaddoo saamaynaysa wax iibsiga gaarka ah iyo maalgelinta. Muhiim ahaan, isbeddelka cimilada waa isha joogtada ah ee khatarta, iyaddoo dhacdooyinka cimilada daran sida abaaraha iyo daadadka, sida dhawaan dhacday, ay dhici karto inay curyaamiso soo kabashada joogtada ah ee beeraha, ee dib u celinta ama yaraynta koboca guud ahaaneed. Si la mid ah, kacdoonka iyo khilaafku ayaa khatar sii gelinaya hawsha dhaqaalaha. Weerarada argagixisada Al-Shabaab (AS) ayaa khatar sii gelinaya xaalada amniga, niyad jebiya maal geliyayaasha wadanka gudahiisa ka iman kara iyo kuwa ajnabiga ah, oo cadaadis badana saara FGS si ay u kordhiso kharashka dowladda ee ku baxa amniga.

Isbeddelka Cimilada Soomaaliya iyo Tallaabooyinka Xeerka La qabsiga

Soomaaliya waxay goob joog u ahayd masiibooyinka daran ee cimilada oo waxay la kullantaa khataro badan oo cimilada ah, oo khatar wayn gelisa horumarkeeda dhaqaale ee mustaqbalka, warshadaynta, ganacsiga, iyo horumarka magaalooyinka. Cimiladu waxay qaabaysay juqraafiga aadamaha Soomaaliya iyo dhaqaalaha, oo isbeddelka cimilada iyo kala duwanaanshahu waa asbaabta ka qayb qaadanaysa ee ugu wayn jilicsanaanta joogtadda ah. Saamaynta labbada dhinac ah ee u dhaxaysa saamaynta cimilada iyo Soomaaliya itaal daradeeda bulsho iyo siyaasadeed ayaa sii waynaysa khataraha. Wadanka waxa soo maray masiibooyinka daran ee cimilada, waxaana xusid muddan abaartii dheerayd todobaankii sanadood ee u dhawaa, oo ay la socotay daadka daran gudaha aagaga dhibta u nugul. Waxa jira qayb ay iska soo galaan khatarta cimilada iyo heerarka saboolnimadu, iyaddoo dadka saboolka ah ee la itaalka daran isbeddelka cimiladu ay ku haleeshay halka webiga Shabeele maro (daadadka), waqooyi bari (kulaylka) iyo, si aad u ballaadhan Soomaaliya (saddex khatarood). Soomaaliya waxay u nugushahay jugaha ka soo gaadha cimilada ee waxyeelaysa koboca oo xanibta

dedaalada yaraynta saboolnimada. Jugahaas joogtada ah ay ku jiraan dhecdoooyinka cimilada la xidhiidha ee soo noqnoqda, sida wareegyada soo noqnoqda ee abaaraha, daadka, iyo ayax dalagyada soo weerara, ayaa carqaladeeya geedi socodka dhaqaale ee wadanka. Natiijo ahaan, kobocu waxa uu ahaa mid hooseeya oo isbeddel badan, oo sii xumeeya heerarka sare ee saboolnimada wadanka oo dhan. Masiibooyinka cimilada ee daran, gaar ahaan abaaraha daba dheeraaday iyo daadka gudaha ah ayaa ku yeelan kara cawaaqib bulsho iyo dhaqaale oo aad u kala duwan wax soo saarka iyo wax dhoofinta, amniga cuntadda, iyo itaal darada iyo wada jirka bulshadda.

Wareegyada dhacdooyinka xad dhaafka ah—abaaraha iyo daadadka—waa muuqaalada ugu cad oo ugu saamaynta badan hadda ee isbeddelka cimilada iyo kala duwanaanshaha cimilada. Saamaynta si la yaableh way u baahsan tahay, laakiin gaar ahaan aad ayay u daran tahay qoysaska miyiga iyo xoola dhaqata, waana sababaha ugu wayn ee keenta u soo haajirida miyi-magaalada. Qoysaska Soomaalida ah waxaa inta badan soo gaadha jugaha, iyaddoo labba ka mid ah saddexdiiba mujtamaca wadanka sida la sheegay inay la kulmaan ugu yaraan hal jug ama dhib ah sanadihii 2021 ama 2022 oo si daran u saamaysay xaaladooda dhaqaale. Barakaca ka yimaada cimilada, khilaafyada sare u kaca ee ku saabsan ilaha dabiiciga gaarka ah, iyo nuglaanshaha kordhaya ee kooxaha la faquuqo sida mutamaca baadiyaha, haweenka iyo dhalin yarada ayaa sii xumeeya itaal darada wadanka.

Soomaaliya waxay u baahan tahay inay kaga gudubto saamaynta daran ee masiibooyinka cimilada maalgelinta adkaysiga leh iyo u diyaar garowga beddelka kharash garaynta kaalmadii aadamiga ahayd ee hore, oo sii wadata isticmaalka inta ugu badan ee kaalmada dibada ah. Tanu waxay u baahan doontaa maalgelinta maaraynta khatarta masiibada (DRM), ilaalinta bulshadda, iyo nidaamyada nolol maalmeedka miyiga oo aad u adkaysi leh (suuragal ahaan ay ku jiraan dib uga soo noqoshada mustaqbalka ah aagaga qaar halka nidaamyada quud helida aanay in dheeraad ah

waafaqsanayn nolosha) Intaa waxa dheer, iyaddoo Soomaaliya ay ku jirtii xiligii magaalo camirka degdega ah, qayb ahaana ay keentay liidashada ka timaada cimilada gudaha aagaga miyiga ah, horumarka ka hortagga cimiladu waxa uu u baahan yahay qaybo ballaadhan oo tallaabooyin siyaasadeed ah iyo maalgelin. Kuwan waxaa ka mid ah kaabayaasha adkaysiga leh iyo magaalooyinka lagu noolaan karo dhexda qorshaynta magaalada cimilada wacan oo xaqiijisa tamar waarid leh, gaadiid, iyo adeegyada biyaha, oo waxaa ku jira goobaha cagaaran oo yareeya goobaha kullaylka leh gudaha magaalada. Maalgelinta caafimaadka dad waynaha iyo raasamaalka aadamaha, sida bixinta caafimaadka gurmada ah masiibada ka dib, barnaamijyada ka warhaynta iyo xakamaynta gudbinta cudurada, shuruucda caafimaadka iyo badbaadada ee dhismayaasha dad waynaha iyo goobaha shaqada iyo ololayaasha wacyi gelinta dad waynaha, ayaa sidoo kale loo baahan yahay.

Dhacdooyinka xad dhaafka ma dhici karto inay yareeyaan mustaqbalka cimilada ee la saadaalin karo, laakiin culayska saamaynta cimiladu way isbeddeli doontaa. U adkaysiga cimiladu waxay u baahan doontaa in caadi looga dhigo horumarka Soomaaliya. Jihooyinka dimuqraafiga ah iyo horumarka ayaa daaha ka faydi doona hantida magaalada iyo kaabayaasha ilaa khataraha daadka, iyo beddelka xaaladaha cimiladuba waxay saari doonaan dhib aad u raagta xoolaha nool iyo

nidaamyada beeraha, caafimaadka aadamaha iyo wax soo saarka, iyo saadka biyaha. U adkaysiga xiliga dheer ee isbeddelka cimilada ilaa heerka dhaqaalaha oo dhan kuma xidhna oo keliya kala duwanaanshaha durugsan ilaa qaybaha wax soo saarka miyiga si lakala dhaxlo cimilada ugu tiirsan, laakiin sidoo kale waxay ka hadlaysaa khataraha cimilada qaybaha kobcaya. Si la isaga ilaaliyo gol daloolooyinka horumarka Soomaaliya, waxaa lama huraan noqon doonto in la maalgeliyo kaabayaasha adkaysiga leh iyo adeegyada, magaalooyinka lagu noolaan karo (loo qorsheeyay meelo cagaaran iyo xaaladaha qaboojinta waxtarka leh, sida ka ilaalinta daadka), iyo horumarka aadamaha si looga hortaggo saamaynta cimilada ee caafimaadka iyo helida waxbarashadda.

Sare u qaadista adkaysiga, waa muhiim in laga hadlo xidhiidhka u dhexeeya waxyaabaha sii adkeeya cimilada, jileeca bulshadda, iyo khilaafka. Tani waxay qayb ka tahay qorshaha iyo is dhexgalka loo dhan yahay ee dedaalada nabad dhidibada u taagida wadata tallaabooyinka la qabsiga cimilada,, xaqiijinta u baahan qaybaha ugu liita la buuxiyay. Xoog saarida xidhiidhada dhibta badan ee u dhexeeya isbeddelka cimilada, daciifnimada bulshadda iyo khilaafka, Soomaaliya waxay dhisi kartaa seeska horumar waara leh iyo adkaysi sareeya oo cimilada ah, iyaddoo xaqiijinaysa mustaqbal aad amni ugu ah dadkeeda.

RECENT ECONOMIC DEVELOPMENTS



1. Somalia Macroeconomic Summary

1.1 The Global and Regional Economy

Tight monetary policies, restrictive financial conditions, and the slowdown of global trade continued to weaken global growth. Global economic growth slowed to 2.6 percent in 2023 and is expected to continue this downward trend in 2024 (to 2.4 percent). Although monetary tightening in advanced economies is expected to end as the global headline inflation has reduced, policy rates are expected to decline only gradually, as core inflation remains more persistent. In an environment of relatively high real interest rates, economic growth in the United States in 2024 is expected to reach 1.6 percent, down from 2.5 percent in 2023, while slightly increasing in the Euro area to 0.7 percent in 2024, up from 0.4 percent in 2023 as energy prices ease. Financial conditions in the United States became looser during 2023¹ and, as of 2024Q1, economic growth has been outperforming expectations, putting pressure on global interest rates. High interest rates in advanced economies have created more challenging financial conditions in emerging markets and developing economies (EMDEs), as several EMDEs still face liquidity challenges and elevated borrowing costs. Moderate consumer sentiment and challenges experienced by the property sector have been slowing China's growth, which is expected to fall to 4.5 percent in 2024, down from 5.2 percent in 2023. Despite these headwinds, global trade is nonetheless expected to pick up this year, driven partially by a recovery of demand for goods, after remaining flat in 2023. Going forward, global growth is projected to accelerate in 2025 (to 2.7 percent) as both advanced economies and EMDEs recover, interest rates decrease, and global financial conditions ease.²

Commodity prices are expected to continue their downward trend in 2024. Despite still being above pre-pandemic levels, prices of most commodities fell in 2023 due to moderate demand. It is expected that oil prices will remain relatively unchanged in 2024 at around US\$81/bbl, falling by only 2.4 percent from 2023 levels as the global economy decelerates. In the same way, food prices fell by 9 percent in 2023 and are expected to fall by a further 1 percent in 2024 due to abundant supply of major crops. The prices of coffee (arabica) and tea (average) followed a similar trend in 2023, with declines of 19.3 and 10.2 percent, respectively. These events are contributing to a decline of global inflation, which will continue in 2024–25 but will remain above its pre-pandemic average beyond 2024.

Despite global headwinds and a challenging domestic context, economic growth in Sub-Saharan Africa (SSA) is expected to rebound in 2024–25. The reduction in inflation and increasing real incomes will boost private consumption across the SSA region, contributing to a rebound in GDP growth of 3.4 percent in 2024 and 3.8 percent in 2025, up from 2.6 percent in 2023. Nonetheless, around half of SSA countries are growing at rates below their pre-pandemic levels. Tight monetary policies and fiscal consolidation efforts will keep investment and public consumption subdued in 2024. While inflation remains high, it is expected to continue its decline as global supply chains normalize and commodity prices fall. More than half of African governments are facing external liquidity problems or unsustainable debt burdens and are actively seeking to restructure or reprofile their balance

¹ National Financial Conditions Index (NFCI) as of April 17, 2024. Federal Reserve Bank of Chicago.

² World Bank. 2024. Global Economic Prospects, January 2024.

sheets. And, even if fiscal balances are expected to improve in 2024, external borrowing costs remain high. The East African Community (EAC)

is projected to grow at a faster pace, by 5.2 percent in 2024 and by 5.7 percent in 2025–26.

2. Recent Economic Developments in Somalia

Growth is rebounding gradually with improved weather conditions contributing to the continued reversal of the impacts of the prolonged 2020–23 severe drought. Favorable rains in 2023 led to improved agricultural production, reduced food insecurity, and supported private consumption. Exports recovery was faster than that of imports, as exports of livestock rebounded. Private sector credit growth contributed to strengthening construction, real estate, and investment, as growth in remittances remained muted. Inflationary pressures eased in 2023, supported by better agriculture performance and easing of global commodity prices. The Federal Government of Somalia (FGS) ran a small surplus in 2023 but the fiscal situation remains challenging due to low domestic resource mobilization. Public expenditures are dominated by personnel costs, while investments in human capital are largely financed by grants and investments in infrastructure are negligible.

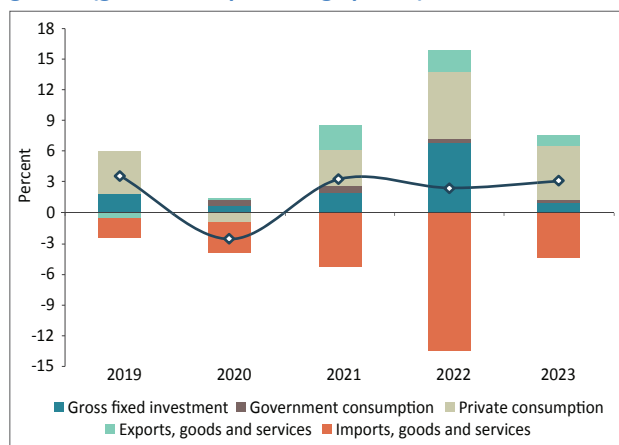
The economy rebounded as drought conditions reversed in 2023, following a severe five-season drought

Somalia's economy rebounded in 2023 as the country emerged from the severe 2020–23 drought and the 2022 global commodity price shocks.

Real gross domestic product (GDP) growth is estimated at 3.1 percent in 2023, up from 2.4 percent in 2022 (Figure 2.1). The agriculture sector experienced a stronger-than-expected rebound after over two years of drought. The final onset of the rains led to improved crop yields and livestock health and contributed to the continued reversal of the impacts of the prolonged severe drought, reducing food insecurity and supporting private consumption. Private consumption remains the key driver of Somalia's economy (Figure 2.1), accounting for roughly 129 percent of GDP in 2023. Also, the recovery in exports was faster than projected, as exports of livestock rebounded quickly with the improving weather conditions. Nevertheless, net exports continue

to be a drag on growth as the economy is heavily reliant on imports. Private sector credit, which grew by 34 percent in 2023 compared with the previous year, contributed to growth in construction, real estate, and investment. However, remittances growth slowed in 2023 relative to 2022, partly due to the impact of global inflation on the purchasing power of the diaspora community.

Figure 2.1: Somalia annual contribution to total GDP growth (growth rate percentage points)



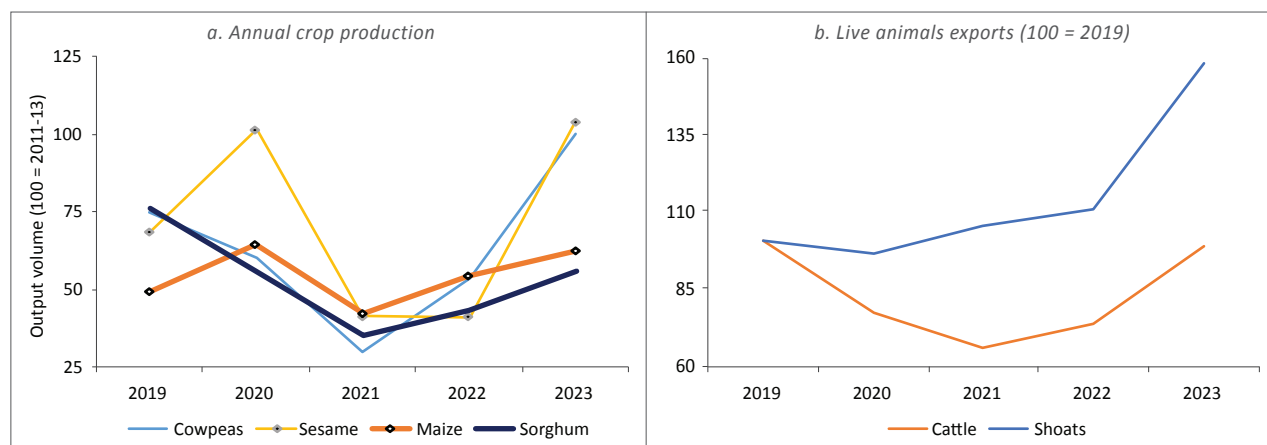
Source: World Bank, WDI Database.

The economy rebounded from its 2018–20 declining path and the 2022 spikes in global commodity prices, helped by a stronger-than-expected rebound of the agriculture sector in 2023. Drought conditions started to reverse in April 2023, after the historic five-season severe drought, with the favorable rains in 2023 driving a recovery in agricultural productivity. The country experienced average to above-average rainfall in the Gu rainfall season (April–June), with rains being highest in the agricultural and pastoral areas located mainly in the southern and northern regions of Somalia.³ Similarly, the Deyr rainfall season (October–December) in 2023 was one of the wettest on record.⁴ The high precipitation helped boost crop production and supported livestock productivity, contributing to the continued reversal of the effects of the prolonged drought. In this context, cereals production and other major crops rebounded in 2023, with staple food crops, maize and sorghum, being 23 percent higher than the previous year (Figure 2.2a). Total production of both crops was, however, 5 percent lower than their five-year averages (2018–22). Nevertheless, flooding during both rainfall seasons, but more severe in the Deyr season, prevented a more

robust recovery. Estimates show that the heavy rains and floods in October–November 2023 destroyed Gu off-season crops and prevented maturation of early planted Deyr season crops, affecting about 83,360 hectares of cropped land (FEWS NET, December 2023).

The livestock subsector also recovered quickly, with livestock exports increasing significantly in 2023. Average Gu rains and the largely above-average Deyr rains led to a significant improvement in pasture and water availability in the pastoral regions in northern, central, and southern Somalia. This led to improved livestock body weight and continued restocking, as well as increased milk production, supporting households' food consumption and income from milk sales. As a result, the recovery in exports of live animals picked up quickly, with shoats (sheep and goats) and cattle growing by 43 and 35 percent, respectively, compared with the previous year (Figure 2.2b). Overall, the improved weather conditions helped increase total crop and animal production which, combined with sustained humanitarian assistance, supported continued food security, and improved household incomes.

Figure 2.2: Agriculture production rebounded in 2023, from the 2020–23 severe drought



Source: World Bank staff estimates using data from FAO Somalia (2024).
Note: Livestock export data cover both Berbera and Bossaso ports.

³ FEWS NET. Somalia Food Security Outlook June 2023 to January 2024.

⁴ FEWS NET. Somalia Food Security Outlook Update December 2023.

>> Box 2.1: Recurrent climatic shocks are intensifying Somalia's already fragile environment

Climate change may increase the frequency of shocks and introduce a multitude of more gradual changes, affecting growth and livelihoods. Somalia faces escalating climatic shocks that are compounded by insecurity and economic instability challenges. Recurrent climate-related shocks, such as cycles of droughts, floods, and locust infestations, have severely disrupted agricultural activities, livelihoods, and depleted water resources. These impacts have led to rising food insecurity, poverty, and internal displacement, exacerbating national instability and economic woes. The country has experienced 14 droughts in the past two decades, devastating the agriculture sector, which employs over 70 percent of the population. Locust infestations and recurrent flooding have further aggravated these challenges.

Somalia faces a multitude of climate risks that pose a serious threat to its future economic development, industrialization, trade, and urban development. Somalia is highly vulnerable to climate shocks that hurt growth and hinder poverty reduction efforts. Frequent climate-related shocks, such as cycles of droughts, floods, and locust infestations, have interrupted the country's economic trajectory. As a result, growth has been low and volatile, exacerbating the high poverty rates across the country. Acute climate disasters, especially prolonged droughts and inland flooding can have wide-ranging social and economic consequences on production and exports, food security, and social vulnerability and cohesion.

The interplay between climate impacts and Somalia's social and political fragilities amplifies the risks. Addressing the immediate risks posed by recurrent climate disasters require investments toward disaster risk management (DRM), such as strengthening emergency response architecture, climate information systems, and integrating DRM into strategic and spatial planning for key sectors, along with adaptive social safety nets and a national disaster risk financing strategy. Other key strategies include enhancing resilience of rural livelihoods and natural resources, and investments in water management systems.

Looking ahead, rainfall variation in Somalia is projected to increase, which is expected to lead to more frequent incidences of drought and flooding. As capacity for water resource management is at a nascent stage and institutions for DRM response need to be developed, these extreme weather events are associated with damaging exports of livestock, diminishing the livelihoods of pastoralists, internal displacement, and the deterioration of agricultural value chains, as well as increase flood risk in rapidly expanding cities. Adapting to and mitigating the effects of climate change requires action at multiple levels, from supporting households to cope with shocks and mainstreaming climate-risk analysis in routine investment decisions and sectoral planning, to encouraging long-term growth of less climate-dependent sectors. Part II of this report provides a detailed deep dive into climate change impacts in Somalia.

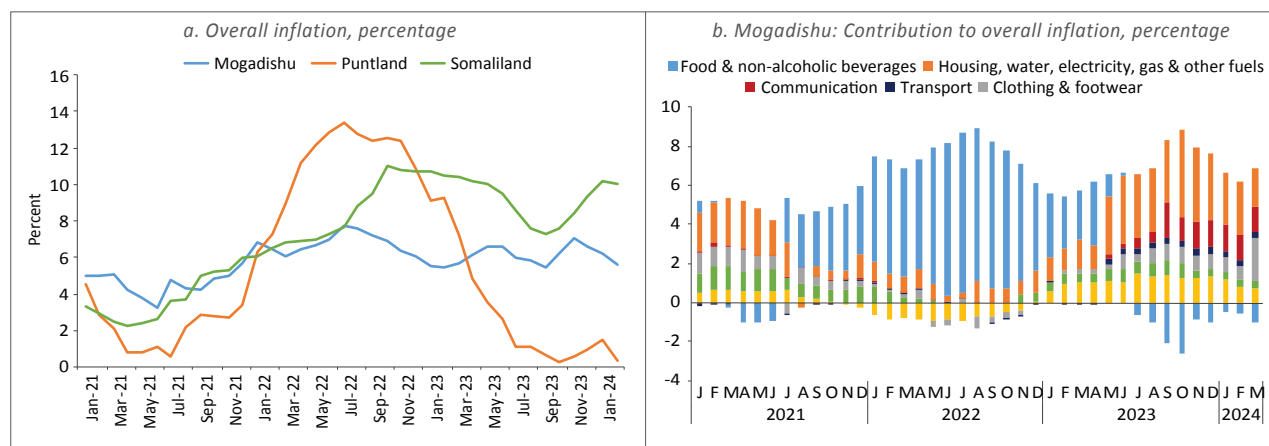
Source: World Bank and FEWS NET, June 2023–January 2024.

Improved weather and an easing of global commodity prices dampened inflationary pressures

Inflationary pressures eased in 2023, supported by better agriculture performance and declining global commodity prices. Overall inflation, however, remained above trend, despite declining, averaging 6.1 percent in 2023 and 6.8 percent in 2022, compared with 4.6 percent in 2021. Favorable rains in 2023 boosted agricultural production, easing local staple food prices. Food inflation averaged just 0.7 percent

in 2023, compared with 13.9 percent in 2022. The easing of global commodity prices led to lower fuel and energy prices locally, though these remain high compared with pre-2022 levels, contributing to stickier overall inflation. This sticky inflation is also a result of increasing house rents, transportation, telecommunication services, mainly from telephone and telefax equipment price increases, and clothing (Figure 2.3b). Overall inflation reached 5.9 percent in March 2024 (y-o-y), as food prices declined, reaching -2 percent during this period.



Figure 2.3: Inflationary pressures eased, driven by decline in food prices

Source: SNBS 2024, Ministry of Planning Puntland, and Ministry of Planning Somaliland.

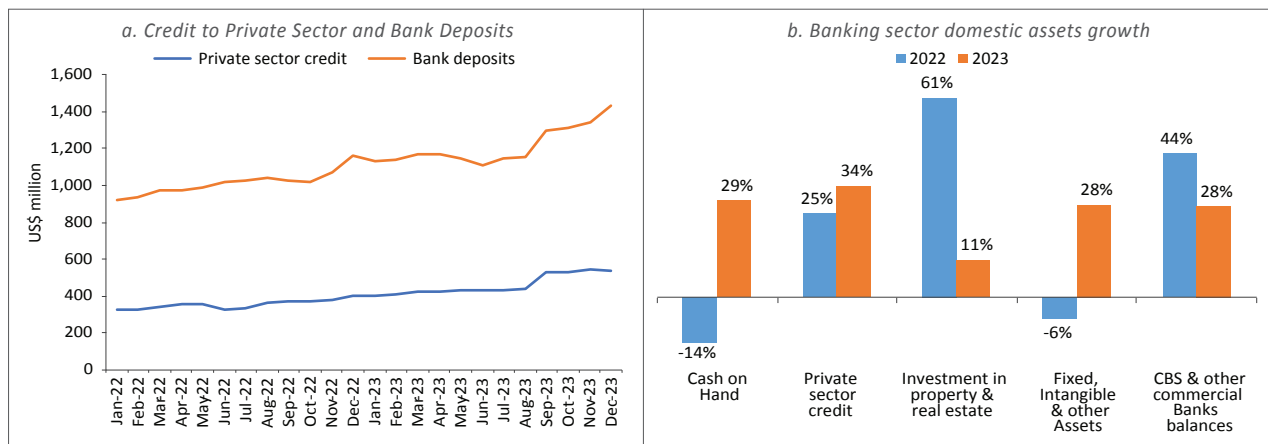
Reforms by the Central Bank of Somalia are strengthening the financial sector

The Central Bank of Somalia (CBS) has continued to develop its regulatory capacity to ensure stable financial sector growth. Financial intermediation remains nascent, with only less than 9 percent of the population having a bank account. However, mobile money is utilized by about 97 percent of households, where transactions are in US dollars, as the economy is de facto dollarized.⁵ The CBS is mainly focused on licensing, supervising, and regulating financial institutions dominated by money transfer bureaus (MTBs), as well as improving transparency in financial transactions. The CBS has so far licensed all 14 commercial banks, 12 MTBs, and three mobile money operators (MMOs) to operate in Somalia. However, the current law restricts the CBS to the formal supervision and regulation of banks, with a revised Financial Institutional Law currently being approved to expand CBS oversight to the entire financial sector. The authorities' efforts in anti-money laundering and combating the financing of terrorism (AML/CFT) are being supported through the implementation of an AML/CFT Law, with the support of the CBS and the Financial Reporting Center. In addition, in March 2023, a Targeted Financial Sanctions Law was enacted, which is expected to further

address money laundering/financing of terrorism risks. Similarly, the issuance of digital identification in September 2023, and the development of credit and collateral registries in the coming years, are expected to support the ability of financial institutions to assess and mitigate risks and promote financial inclusion among households and firms.

Somalia banks' domestic assets are rising, signaling increasing confidence in the banking sector (Figure 2.4a). Commercial banks' assets more than tripled compared with pre-COVID-19 levels, reaching US\$1.6 billion in 2023 and representing 13.9 percent of GDP. Growth in domestic assets is mainly driven by growth in deposits. Customer deposits remained the primary commercial banks' liabilities, mainly in the form of demand deposits of commercial entities and individuals. Credit to the private sector increased by 34 percent (Figure 2.4b) in 2023 to reach 4.6 percent of GDP, up from 3.8 percent in 2022. Investment in partnerships/joint ventures and trade financing are the two main subsectors of private sector credit, which grew by 23 and 20 percent, respectively. However, the largest increases were in real estate loans, at 77 percent, and construction loans, at 31 percent, while investment in real estate grew by 11 percent during the period.

⁵ Somali National Bureau of Statistics, Federal Government of Somalia, 2023.

Figure 2.4: Overall banks' performance signals increasing confidence in Somalia's financial sector

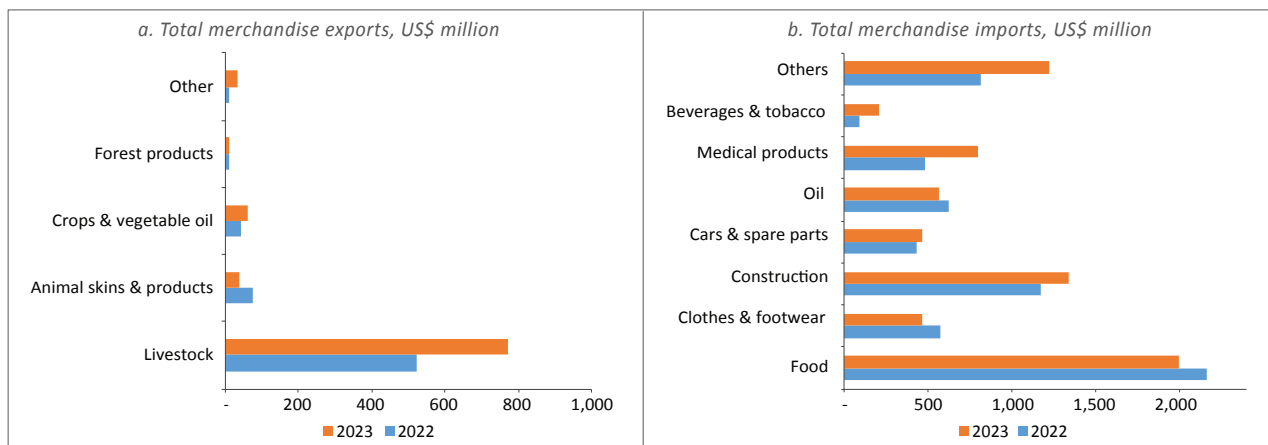
Source: Central Bank of Somalia database (2024).

A rebound in exports in 2023 supported the gradual recovery of the weak external sector

International trade rebounded quickly in 2023 from the prolonged drought and high commodities prices. Improved climatic conditions in 2023 gradually boosted export recovery, with total merchandise exports increasing by 38 percent in 2023 compared with 2022. Favorable rainfall supported a rapid recovery in livestock exports, Somalia's main driver of export earnings. Exports of live animals increased by 48 percent to US\$771 million in 2023, representing over 80 percent of the total merchandise exports (Figure 2.5a), while small crops and vegetable oil exports also grew by 39 percent during this period, reflecting improved agricultural production.

Spending on oil and food imports bills declined in 2023.

Improved weather conditions and the easing of global commodity prices contained the total import bill. As a result, food imports, which had increased by two-thirds in 2022, declined by 7.4 percent (in nominal terms) in 2023, while the oil import bill declined by 10 percent during this period (Figure 2.5b). Overall, merchandise imports increased by 11 percent in 2023, mainly driven by the import of construction materials, medical products, and electrical products. Nonetheless, Somalia runs a chronically high structural trade deficit, as the economy is heavily import-dependent. The trade deficit only narrowed slightly to 58.8 percent of GDP in 2023, from 61.2 percent in 2022. The current account deficit widened slightly by 1.6 percentage points

Figure 2.5: Trade activities rebounded in 2023

Source: Central Bank of Somalia 2023.

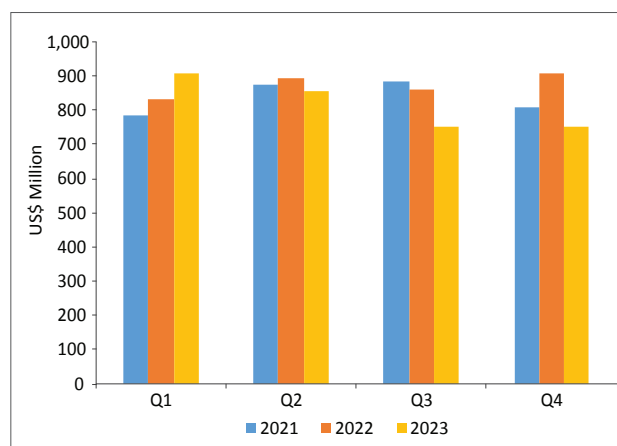
to 9.6 percent of GDP in 2023. External flows mainly grants and remittances, both estimated at 50 percent of GDP in 2023, and FDI estimated at 5.2 percent, financed the deficits.

Remittances declined in 2023, reflecting tighter global economic conditions. Remittances recorded a 6.5-percent decline in 2023, the first decline in the past five years. The decline was attributed to tight global financial conditions as monetary policies tightened, and high inflation rates experienced in the countries where most of the Somali diaspora resides (the United Kingdom, the United States, Sweden, Australia, South Africa, the Gulf states, and neighboring countries). Remittances support consumption, investment, and terms of trade, and help to cushion households in times of shocks. Remittance flows also continued to be hindered by the lack of correspondent bank relationships for Somali banks.

FGS fiscal performance continues to improve driven by sustained domestic revenue mobilization efforts

Supported by tax policy and administration measures, FGS revenues improved in 2023 (Table 2.1). As a result, the budget closed with a small fiscal surplus of 0.2 percent of GDP in 2023 (compared with a deficit of 0.1 percent in 2022). Domestic revenues increased to 2.8 percent of GDP in 2023, up from 2.3 percent in 2021 and 2.5 percent in 2022, driven by higher customs collections following the hike of customs duties for luxury goods, implementation of the Somalia Customs Automated System (SOMCAS), as well as better inland revenue collection due to improvements in tax administration. Nevertheless, overall domestic revenue remains low compared with the country's development needs, making up only around 40 percent of FGS total revenue. As a consequence, most of Somalia's public expenditures are financed by external grants, with donor grants accounting for 55 percent of total revenues in 2023.

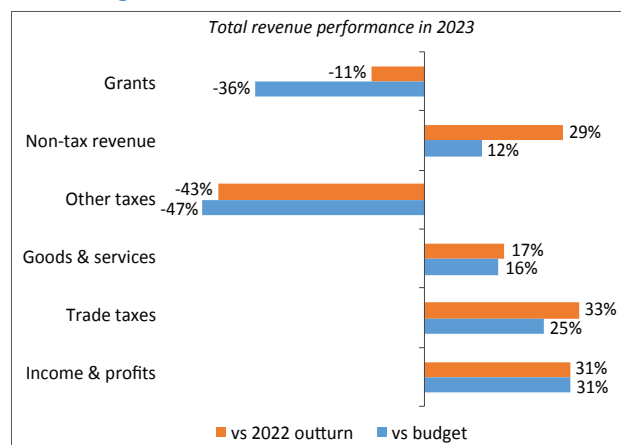
Figure 2.6: Remittances have remained relatively resilient to recurrent shocks



Source: Central Bank of Somalia (2023).

Trade taxes and non-tax revenues remain the main sources of domestic revenue (Figure 2.7), accounting for 47 and 32 percent of total domestic resources, respectively, in 2023. Trade taxes increased by 33 percent in 2023 driven by increased custom duties for building and household materials, and the importation of khat as supply constraints eased. Non-tax revenue increased mainly from overflight and harbor fees, telecom spectrum fees, and visa and passport fees. Taxes on goods and services—the third-largest category—increased by 17 percent in 2023, mainly driven by sales tax on imported goods. While modest, income and corporate taxes also increased markedly by 31 percent, with personal income tax from private and public employees driving performance.

Figure 2.7: FGS revenue mobilization efforts are paying off, even though the base remains low



Source: FGS Ministry of Finance 2023.

Table 2.1: Government fiscal operations, 2022–2024 (US\$ Million)

	2022		2023		2024	
	FGS Budget	FGS Actual	FGS Budget	FGS Actual	FGS+FMS Actual	FGS Budget
Revenue and grants	944.9	721.9	917.3	738.1	887.4	1,040.9
Domestic revenue	250.1	262.7	283.3	329.5	461.5	346.2
Tax revenue	173.7	181.7	189.9	224.8	332.1	241.4
Taxes on income, profits, property	15.8	18.7	18.6	24.4	37.5	23.2
Taxes on goods and services	30.8	32.8	33.1	38.3	70.6	46.6
Taxes on international trade	111.3	116.2	123.2	154.1	213.4	164.5
<i>o/w import tax on khat</i>	16.0	13.7	20.0	17.2	..	19.0
Other taxes	15.9	14.1	14.9	8.0	10.6	7.0
Non-tax revenue	76.4	81.0	93.4	104.7	129.4	104.8
<i>o/w telecoms spectrum fees</i>	13.1	4.1	6.0	8.4	..	7.8
Grants	694.8	459.2	634.0	408.6	426.0	694.7
Budget support	174.6	145.5	173.6	..	..	185.0
Project support	520.2	313.7	460.4	..	..	509.7
Expenditure	919.5	719.5	922.6	720.3	922.8	1,079.3
Compensation of employees	266.0	259.6	296.7	292.2	393.1	360.9
Use of goods and services	232.2	140.7	208.7	138.2	211.4	324.5
Interest and other charges	2.5	0.8	5.8	13.2	13.2	9.8
Transfers (intergovernmental)	132.4	111.2	157.8	126.3	128.9	218.5
Social benefits	247.3	188.9	190.0	130.6	132.0	85.6
Other expenses	5.6	5.1	10.2	5.4	12.6	16.2
Capital	33.5	13.2	53.4	14.4	31.6	63.8
Budget balance	25.4	2.4	-5.32	17.8	-35.4	-38.3
<i>Memo:</i>						
Nominal GDP (US\$ millions)	10,420	10,420	11,680	11,680	11,680	12,807

Source: FGS Ministry of Finance, March 2024.

FGS expenditures declined by 0.8 of a percentage point to reach 6.2 percent of GDP in 2023. This was due to lower disbursements to donor projects compared with 2022 and favorable rains contributing to the ongoing reversal of the 2020–23 drought effects, resulting in reduced crises response commitments. Almost all FGS expenditure is recurrent and non-discretionary (Table 2.1), and dominated by the wage bill, which increased by 16 percent

on average in the period 2021–23. The wage bill accounted for 41 percent of total spending, equivalent to 2.5 percent of GDP in 2023.

Wage bill increases reflect reforms to bring all government workers onto the formal payroll, as well as new recruitment. The security sector wage bill now accounts for the largest share of the total wage bill, at 52 percent in 2023, representing 21 percent of total spending

(Figure 2.8a). It surpassed civil service personnel costs in 2020, with the onboarding of the security personnel onto the formal government payroll. It has subsequently continued to increase, recording 9 percent average annual growth in the period 2021–23, mainly due to the recruitment of new personnel. Total security personnel costs account for 80 percent of total security spending, mainly for the armed forces and the police. Similarly, the civil service wage bill increased at the same rate during this period, reflecting personnel reclassification into more formal head-counted staff and new recruitments across government agencies.

Capital spending accounted for only 2 percent of total FGS spending in 2023 (Table 2.1).

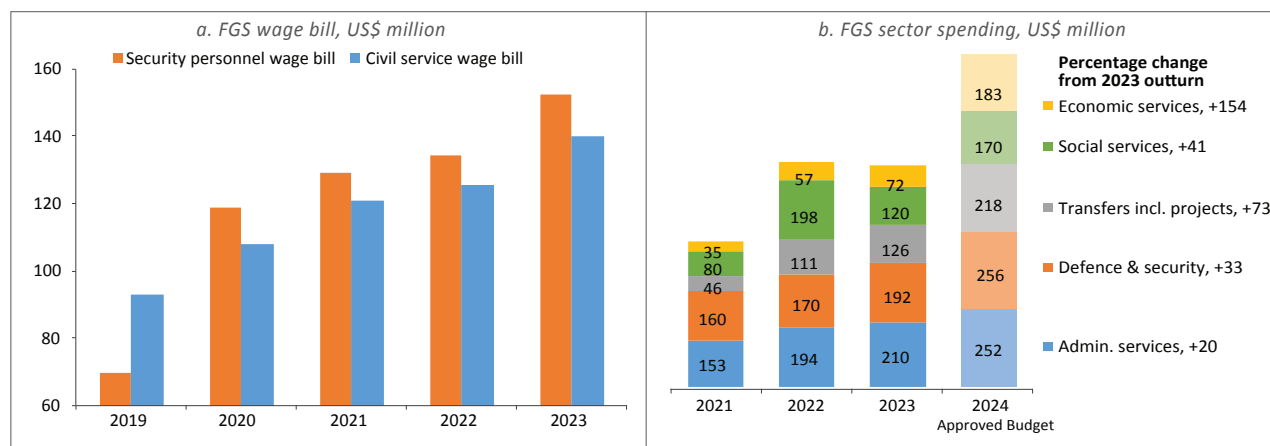
With limited fiscal space, the Government is unable to invest in its key sectors, particularly infrastructure, energy, and agriculture, which would benefit the country's economic growth and job creation. Goods and services were the second-largest spending category after the wage bill, accounting for 19 percent of total spending in 2023, representing 1.2 percent of GDP. The Government has increased spending on social benefits and intergovernmental grants since 2021, as the country battled with severe drought and high commodity prices while also recovering from the COVID-19 crisis. Intergovernmental transfers to sub-national governments almost tripled compared with

the pre-COVID-19 level and accounted for 17.5 percent of expenditures in 2023. Social benefits declined to 18 percent of total spending in 2023, down from 26 percent in 2022, reflecting lower donor commitments in crisis response, as drought conditions waned, and commodity prices continued to decline.

FGS sectoral priorities remain largely unchanged, but a shift toward social and economic services is being realized through increased external grants (Figure 2.8b).

Social expenditures, mainly comprising cash transfers under the Baxnaano social safety program, accounted for 17 percent of total spending in 2023, compared with just 6 percent in the pre-COVID-19 level. Total spending is skewed toward administrative services to manage fiscal operations and security provision. Thus, administration sector spending increased to 29 percent of total spending in 2023, up from 27 percent in 2022, while security sector spending reached 27 percent of total spending, up from 23 percent in 2022. Repeated adverse climatic shocks and the lingering effects of the pandemic continued to drive increases in social spending to cushion vulnerable households. Donor investments in public works, water, and agriculture accounted for the increased expenditures in economic services, which reached 10 percent of total spending in 2023, up from 7.8 percent in 2022.

Figure 2.8: Increasing FGS wage bill, while sector spending is skewed toward security and administration



Source: FGS Ministry of Finance.

Intergovernmental grants continue to support fiscal operations at the FMS level

Domestic revenue collection increased across all Federal Member States (FMSs) in 2023.

Puntland State of Somalia (PSS), which has the largest budget of the five FMSs, saw a marginal increase of 1.2 percent in actual collection to US\$85 million compared with the previous year, while Jubaland State of Somalia (JSS), the second-largest FMS, saw the highest increase of 56 percent to US\$29.5 million (Table 2.2). Trade taxes and taxes on goods and services are the key drivers of domestic revenue in these two FMSs. While own-source revenues increased across the other FMSs (South-West State of Somalia [SWS], Galmudug State of Somalia [GSS], and Hirshabelle State of Somalia [HSS]) during this period, the revenue base remains too low, with grants playing a critical role in supporting fiscal operations.

The delivery of public services across the FMSs remains challenging, given that fiscal space remains so limited. FMS spending is virtually all recurrent, mainly the wage bill, and goods and services (Table 2.2), with high reliance on external grants. Capital investments are minimal, with only Puntland spending a sizable share, at 13 percent of total spending in 2023.

Implementing the 2024 FGS budget will require renewed efforts to mobilize revenue

FGS total expenditure is set to increase significantly in 2024, as implementation of donor-funded projects is expected to accelerate. The state budget is expected to exceed US\$1 billion (Table 2.1), increasing by 50 percent compared with 2023 outturn, and equivalent to 8.4 percent of GDP. The increase is largely due to higher security spending in response to the withdrawal of the Africa Union

Table 2.2: Fiscal operations at sub-national governments

	PSS		JSS		SWS		GSS		HSS	
	2022	2023	2022	2023	2022	2023	2022	2023	2022	2023
Revenue and grants	111.0	95.9	38.4	47.8	22.9	20.5	24.3	22.8	12.1	15.4
Domestic revenue	84.1	85.1	8.9	29.5	3.4	5.0	7.9	8.4	3.3	4.0
Trade taxes	42.7	43.1	10.1	15.0	0.3	0.5	0.1	0.3	0.2	0.4
Taxes on goods and services	13.1	14.4	4.6	5.9	1.2	1.0	6.5	6.5	1.9	2.8
Taxes on income and profits	7.5	7.0	1.0	1.8	1.8	3.0	0.7	0.8	0.3	0.5
Other taxes	2.4	2.2	-	0.1	-	0.0	-	-	0.1	0.3
Other revenue	18.4	18.4	3.2	6.7	0.2	0.4	0.6	0.7	0.8	0.1
Grants	26.9	10.8	19.5	18.3	19.5	15.5	16.3	14.4	8.8	11.4
Expenditure	113.1	98.0	37.5	46.5	22.3	20.7	23.3	22.7	12.1	14.6
Wages and salaries	56.6	47.3	18.1	24.4	12.4	11.7	11.5	11.0	8.5	6.6
Goods and services	31.3	34.2	11.6	16.2	5.5	8.0	8.1	9.5	2.2	5.2
Transfers	1.3	0.5	0.3	-	-	-	0.1	0.3		
Other expenses	2.1	2.1	6.6	4.5	0.3	0.0	0.0	0.1	1.2	1.8
Social benefits	2.0	1.3	0.1	0.1	0.6	-	0.1	-	-	0.5
Capital	19.8	12.6	0.8	1.3	3.5	1.0	3.6	1.8	-	-

Source: FMS Ministries of Finance data.

Note: GSS=Galmudug State of Somalia; HSS=Hirshabelle State of Somalia; JSS=Jubaland State of Somalia; PSS=Puntland; SWS=South-West State of Somalia.

Transition Mission in Somalia (ATMIS), while new teachers hired during 2023 are expected to push up spending on the wage bill, and goods and services, compared with 2023. Most of this additional spending is expected to be financed by external grants, keeping the overall deficit low at 0.3 percent of GDP. Donor grants, mostly project financing, dominate the total revenue envelope, estimated at US\$695 million, or 5.4 percent of GDP. Domestic revenue is also set to improve, but at a more modest rate than external grants. Fiscal risks are associated with lower-than-expected disbursements on donor funds, especially for security, and weaker domestic revenue mobilization.

The FGS aims to sustain its domestic revenue mobilization efforts. Domestic revenue is estimated at 2.7 percent of GDP in 2024, increasing by 5.1 percent to US\$346 million. Revenue collection is expected to increase across the three key domestic revenue streams, with trade taxes, which is the leading driver, set to increase by 7 percent compared with the 2023 outturn, mainly from customs and other import duties, and revenue from khat. Taxes on goods and services, the third-largest category, is expected to record the highest increase of 22 percent, with sales tax estimated to drive the overall increase. Non-tax revenue—the second-largest category—is expected to increase only slightly by 0.1 percent, with continued increases

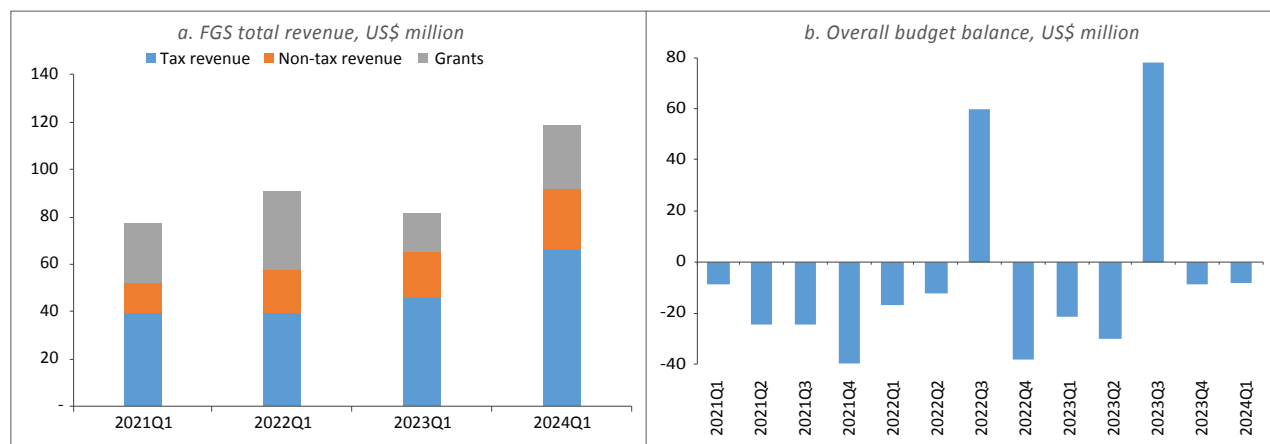
in overflight fees (from the upgraded airspace classification); visa, passport, and airport fees; and telecom spectrum fees, mainly from phone number fees—a new tariff from 2024 onwards.

The FGS's continued strong domestic revenue efforts are paying off

Domestic revenue collection remained strong in 2024Q1, driven by robust performance across all revenue streams. Actual collection increased by 41 percent in 2024Q1 (y-o-y), compared with the same period in 2023 (Figure 2.9a), mostly due to higher customs duties on luxury goods. Trade taxes and non-tax revenue—the main drivers of domestic revenue—increased by 27 and 33 percent, respectively, during this period. Taxes on goods and services almost doubled, while income and corporate taxes more than doubled, recording the highest growth of all the revenue streams. Similarly, disbursement of project grants improved, with donor grants in 2024Q1 increasing by 66 percent compared with 2023Q1.

Nevertheless, FGS expenditures continue to exceed the available resources, leaving a cumulative financing gap of US\$8 million in 2024Q1 (Figure 2.9b). Total expenditures were 24 percent higher compared with a similar period in 2023, with the wage bill driven by security personnel dominating total spending and accounting for 64 percent. Goods and

Figure 2.9: Revenue performance remains strong, but still too low to cover increasing expenditure needs



Source: FGS Ministry of Finance, March 2024.

services expenditure accounted for 22 percent. Transfers to sub-national governments in 2024Q1 increased by 14.4 percent over the same period in 2023 and accounted for 11 percent of total spending. The Government continued to service its debt obligations, with token interest payments (0.7 percent of total expenditure) during 2024Q1.

The FGS will need to pursue prudent fiscal policy to ensure fiscal balances are manageable. This could include increasing domestic mobilization efforts, containing security costs, and continuing implementation of measures to improve the transparency of wage bill spending (by integrating non-payroll staff in the SFMIS) and advance pay and grade reforms.

Somalia achieved the historic debt relief milestone in December 2023

Somalia reached the HIPC Completion Point in December 2023, eliminating a debt burden

that has plagued the country for over three decades. Somalia received full and irrevocable debt relief on US\$4.5 billion of its debt, reducing external debt to 5.4 percent of GDP at end-2023, down from 64 percent in 2018, prior to entering the HIPC process (Table 2.3). In the post-HIPC environment, the country has far greater opportunities to finance investments on development priorities and expand basic service delivery.

While debt sustainability has improved with debt relief, significant risks remain. Somalia continues to have US\$766 million of debt outstanding, which must be managed carefully. The Government should continue to take important steps to avoid falling back into debt distress in the future. The Government's commitment to maintain fiscal discipline and increase domestic revenue, together with structural reform in key areas, will help to safeguard long-term debt sustainability.

Table 2.3: Somalia: Decomposition of total public debt over the HIPC initiative

	Before HIPC, end-2018		After arrears clearance,			
			end-2022		Before HIPC, end-2018 ¹	
	(US\$ million)	(percent of GDP)	(US\$ million)	(percent of GDP)	(US\$ million)	(percent of GDP)
Total Public Debt	5,345.1	64.6	3,894.8	37.4	766.3	6.6
Total External Debt	5,268.1	63.6	3,827.0	36.7	698.4	6.0
Multilateral ^{2/}	1,535.7	18.6	1,074.9	10.3	467.7	4.0
Bilateral creditors	3,730.1	45.1	2,749.5	26.4	230.3	2.0
Paris Club	3,037.6	36.7	2,004.5	19.2		
Non-Paris Club	692.6	8.4	745.0	7.2		
Commercial	2.3	0.0	2.5	0.0	0.5	0.0
Government wage arrears	77.0	0.9	67.8	0.7	67.8	0.6

Source: Somali authorities and IMF staff calculations.

1/ End-2023 estimates include full delivery of HIPC debt relief, MDRI, and beyond HIPC assistance.

2/ Includes disbursement from successor IMF ECF arrangement in December 2023.

3. Medium-Term Outlook and Risks

Continued recovery in growth amid significant risks, supported by improving weather conditions, economic reforms, and increased public investment with debt relief dividends. Nonetheless, Somalia's growth prospects depend on the global economic outlook and government policies. Further easing of global commodity prices is expected to keep inflation low and cushion household incomes. Favorable weather conditions, improving global environment, and post-HIPC reforms will improve trade and support higher domestic revenues.

Medium-term economic growth is projected to be modest, as risks remain significant.

Real GDP growth is projected to expand to 3.7 percent in 2024 and reach 4.0 percent in 2026 (Table 3.1). This is due to a rebound in household demand, domestic investment, and government spending. Private consumption growth—the main driver of Somalia's economy—is projected to average 4.1 percent over the medium term. Average Gu and Dyer rains in 2024 are projected to lead to continued recovery in agricultural productivity, and improving household incomes and food security, which should serve to boost exports in 2024 and 2025. Economic reforms and increased public investment should also boost investor confidence and attract FDI, encouraging

increased broad-based private sector activity and investment. The recovery in agricultural production and exports, coupled with further easing of the global commodity prices and continued social protection measures, should help to cushion household incomes, especially among the vulnerable supporting private consumption growth.

Growth over the medium term will likely be driven by three factors: (i) continued political stability and reduced security risks; (ii) a gradual scaling-up of public spending (in sectors such as energy, transportation, education, and health); and (iii) financial deepening and financial inclusion, as financial sector reforms start to

Table 3.1: Selected economic and poverty indicators (% of GDP unless otherwise indicated)

	2021	2022	2023e	2024f	2025f	2026f
Real GDP growth	3.3	2.4	3.1	3.7	3.9	4.0
CPI Inflation, annual percentage change	4.6	6.8	6.1	3.9	3.7	3.5
Current account balance	-7.3	-8	-9.6	-8.6	-8.8	-10.4
Trade balance	-50.9	-61.2	-58.8	-58.5	-57.7	-56.9
Private remittances	21.5	20.6	20.3	20.4	20.6	21.0
Official grants	23	33	29.3	29.8	28.6	25.9
Fiscal balance	-0.8	-0.1	0.2	-0.4	-1.2	-1.8
Domestic revenue	2.3	2.5	2.8	2.8	3	3.3
External grants	1.5	4.4	3.5	4.3	3	1.5
Total expenditure	4.7	7	6.2	7.5	7.1	6.6
Compensation of employees	2.5	2.5	2.5	2.6	2.5	2.5
External debt	39.9	36.7	5.4	5.0	5.7	7.2

Source: World Bank, IMF, and FGS.

Notes: Fiscal data are for the FGS.

pay off. Private investment is projected to pick up, with planned investments in sectors such as fisheries, electricity, digital identification, and infrastructure expected to support growth and job creation. Moreover, the Somali Centennial Vision 2060 is critical for Somalia's growth outlook, as the nation faces significant economic and social challenges, including state fragility, poverty, unemployment, corruption, food insecurity, illiteracy, clan-based conflicts, and migration. It represents a comprehensive strategy designed to achieve complete and sustainable development by leveraging innovation, economic diversification, sustainable development, social justice, and technological progress.

External trade will continue to improve, assuming favorable weather conditions continue and the global environment strengthens. The supply bottlenecks and trade constraints are expected to continue to ease, helping to boost export demand. Similarly, improving agricultural productivity will support increased exports. Growth in remittances is expected to rebound as global economic conditions improve, hence supporting household incomes and investments. The current account deficit is projected to remain around single-digit levels over the medium term, at 8.6 percent of GDP in 2024 and slightly widening to 10.4 percent of GDP in 2026 (Table 3.1).

Financial sector reforms and related institutional capacity building are expected to continue increasing confidence, integrity, and financial deepening. With several new laws and regulations expected to be implemented in the coming months (namely the Financial Institutions Law, the Takaful Insurance Law, the National Payment Systems, and the Central Banking Law), financial sector oversight is expected to be significantly improved and opportunities for the introduction of new financial products

and services expected to increase. Passing of these laws will build confidence in the market and render the financial sector more robust and better aligned with international standards. Enhancements to financial infrastructure, continued strengthening of payment systems, and building on the strongly permeation of digital wallets could be significant opportunities for promoting financial inclusion. The introduction of foundational digital ID will further allow for e-KYC introduction, and the inclusion of the underbanked and unbanked populations. Introduction of Takaful insurance will help strengthen the financial safety net and improve resilience against climate-related challenges. The ongoing Middle East and North Africa Financial Action Task Force (MENA-FATF) mutual evaluation will clarify AML/CFT-related risks and help develop an action plan to address them, bringing Somalia closer to the global standards and requirements needed to promote cross-border investments and money transfers. These efforts will support better integration of Somalia into the global financial system.

Reforms to tax policies and administration are expected to mobilize additional domestic revenue. Trade-related revenues (customs duties, sales tax on imports, and port fees) are expected to increase due to efficiency gains from customs modernization, which include implementation of SOMCAS, improved data collection, and enhanced customs harmonization processes. Approval of the new Income Tax Law, which clarifies and streamlines deductions, and the introduction of excise taxes on money transfer businesses, airtime, and telecommunications, are projected to lead to an increase in income and sales tax revenues. The revenue administration is also expected to continue adding new taxpayers to the tax net, for example large firms in banking and hospitality, through expanding the use of digital tools and enhancing enforcement capacity.



The wage bill, together with goods and services expenditures, will continue to drive spending, both accounting for two-thirds of the budget in 2024, at 33 and 30 percent, respectively (Table 2.1). Total transfers (including projects' transfers) will account for 20 percent of the total expenditure, increasing by over 70 percent, with project transfers driving the increase. A supplemental budget by the FGS is envisaged in 2024, which will reduce expenditures to be in line with available resources to ensure smooth implementation of activities and continued fiscal discipline.

Higher domestic revenues will make room for greater spending on public investment and social services. Completing the HIPC debt relief process provides Somalia with new access to concessional borrowing, and grants are expected to gradually decline and be replaced by concessional loans. While relevant external and public debt burden indicators remain below their respective thresholds and benchmarks in the long run, the upward trajectory of measures of debt-to-GDP and debt service underline the need for Somalia to continue to seek grant financing and highly concessional borrowing to finance deficits, even beyond the medium term. Somalia's fiscal policy is currently encountering

several significant challenges. These include the low mobilization of domestic revenues (only 3 percent of GDP is generated), excessive dependence on donor grants, high spending demands in the security and social sectors, weak capacity for implementing expenditures, lack of an established fiscal federalism framework, low budget execution controls, low public financial management (PFM) performance, and high risks stemming from weak governance and high levels of corruption. After identifying the challenges, it is important for post-HIPC fiscal policy in Somalia to prioritize long-term fiscal sustainability, macroeconomic stability, socio-economic development, and climate shock resilience. To ensure fiscal sustainability, domestic revenue mobilization should be improved, which will allow the Government to expand public services gradually and gain the trust of citizens. Furthermore, enhancing PFM to protect fiscal resources, and promoting good governance and implementing fiscal federalism, will all contribute toward fiscal sustainability. However, it is important to maintain a responsible budget deficit and only access concessional financing.

Over the medium to longer term, reforms to the wage bill should be prioritized. Measures to enhance the fiscal sustainability of the wage

>> Box 3.1: Somalia's external debt profile

Somalia's external debt profile is projected to improve significantly in the context of post-HIPC Completion Point. The extension of IDA20 grant status by one year induces a downward level shift in the external debt profile, with external debt to GDP projected at 10.3 percent by 2028 in the current Low-Income Country Debt Sustainability Analysis (LIC-DSA) relative to 11 percent of GDP in the December 2023 LIC-DSA. It also results in lower levels for the ratios of PV of external debt to GDP in the current LIC-DSA, compared with the December 2023 LIC-DSA. The extension of grant status by one year also leads to a commensurate improvement in the primary fiscal deficit and the non-interest current account deficit in 2024. The PV of PPG external debt to GDP is forecast to gradually rise from 4.7 percent of GDP to 6.7 percent of GDP in the medium-term baseline, and to 9.6 percent in the long term—well below the indicative threshold of 30 percent. The PV of PPG external debt to exports, external debt service to exports, and external debt service to revenue all remain below the indicative thresholds over the projection horizon in the baseline. Debt service ratios are expected to increase toward the end of the projection period due to the resumption of payments on restructured debt and debt service payments due to the IMF starting in 2026. From 2025 to 2029, the baseline assumes that the external financing mix will be highly concessional, with an estimated average grant element of 58.2 percent, which is projected to decline to around 48 percent by 2034.

Source: Somalia LIC-DSA, April 2024.

bill could include introducing ceilings on the number of positions in specific grades per year, as well as the retrenchment of staff with no formal education. All post-legal retirement age civil servants should also be removed from their positions. The consideration of the pensions bill could also support the retirement of personnel, provided it is well designed with a fiscal sustainability lens. Over time, there should be a greater orientation toward social and economic expenditures, which can help to improve service delivery, perceptions of state legitimacy, and encourage higher levels of compliance with the tax regime.

Risks to this outlook are significant and tilted to the downside

Somalia's near-term uncertainty remains high, and risks are tilted to the downside. Food insecurity will worsen if the rains fail, or new natural disasters hit Somalia. Additional risks stem from a deterioration of the global and/or regional security situation (including the security situation in the Red Sea), risks related to the ATMIS transition, political risks linked to federalism, and lower global growth. A further slowdown in global growth could contribute to inflationary pressures up pushing commodity prices. Higher oil prices would increase Somalia's import bill, weakening its already vulnerable external sector. A slowdown in global economic growth could contribute to a further decline in remittance inflows from Somalia's large diaspora, affecting private consumption and investment. Furthermore, extreme climate events could reverse the recovery of the agriculture sector, increasing food insecurity and water stress, and heightening already high humanitarian needs. Although Somalia's economy remains stable, simmering conflict continues to pose risks to economic activity. Terrorist attacks by Al-Shabaab continue to threaten the security situation, discouraging domestic and foreign potential investors, putting more pressure on the government to increase spending on security and dampening growth prospects.

On the upside, forceful implementation of structural reforms could support accelerated growth and tap into new sources of growth.

There is substantial potential in developing Somalia's agriculture sector, especially the crop and livestock subsectors, to boost economic growth, improving food security and the prospects for trade. The crop and livestock subsectors in Somalia are important sources of livelihoods, particularly in rural areas. The fisheries sector also holds substantial potential for Somalia. Somalia has a productive marine ecosystem due to seasonal upwelling along its Indian Ocean coast. However, weak governance is a major constraint. In addition, petroleum exploration potentially offers new opportunities. Based on prospects of substantial offshore oil reserves, the Government is preparing the legal and fiscal framework for petroleum management. Better access to financial services, affordable electricity, and effective business regulation would spur the development of the private sector and the creation of jobs.

Overreliance on external grants can put Somalia's macroeconomic stability at risk, especially if there are any shocks in the flow of grants, such as the one that occurred in 2021 over the election impasse. While grant financing is expected to decline gradually going forward, greater access to concessional funding post-HIPC may offer an opportunity to rebuild and advance development efforts. Essential prerequisites include well-thought-out public investment strategies, improving government operations, strengthening public debt management capacity, establishing a national fiscal framework, and ensuring a country's ability to honor new debt liabilities. To address these challenges, it is crucial for the Government to focus on increasing its internal revenues. This could be achieved by introducing policy reforms and devising innovative ways to generate new revenue sources, in order to achieve financial stability and meet the country's developmental needs. It is essential to allocate future loans to

productive projects and programs that promote economic growth, job creation, and poverty alleviation. Post-HIPC fiscal sustainability is a significant concern, given challenges such as low domestic revenue mobilization, excessive donor grant dependence, and high spending demands.

Although there are many benefits in joining the EAC, the depth of Somalia's security problems raises critical questions about the bloc's readiness and capacity to ensure peace, security and regional stability. Article 3 of the EAC Treaty stipulates the criteria for admitting new countries. They must adhere to principles of good governance, democracy, the rule of law, human rights and social justice. Furthermore, Somalia's domestic market is economically fragmented, with high price differentials across the regions. Fragmentation of the domestic market raises costs for producers and dampens competitiveness. Addressing the drivers of fragmentation requires tackling illegal checkpoints through improved governance, as well as high transportation costs particularly in the south and central regions. Strengthening infrastructure along strategic corridors through improved access to a reliable road network and power could support trade within Somalia, the region and beyond. Moreover, advancing a national trade strategy that supports Somalia's trade-related institutions, harmonization of customs and border management processes, and the strengthening of producers' capacity to meet importers' sanitary and phytosanitary measures can help develop regional integration.

Somalia has made significant progress in consolidating its federal system, building core government capacity, and supporting inclusive private sector-led growth. However, it still faces foundational governance, security, and other development challenges that threaten state legitimacy and impede its path out of Fragility, Conflict, and Violence (FCV). Since establishing a federal system in 2012, the FGS and the FMSs have made incremental headway on financing and building the capacity of state institutions

to deliver basic services, and also made some progress on intergovernmental relations. Reflecting its good track record on reform, Somalia reached the HIPC CP on December 13, 2023, which provided substantial debt relief moving Somalia out of debt distress. However, service delivery remains low, especially in areas experiencing violence and conflict, and the state remains largely invisible in parts of the country. The FGS and the FMSs still face political contestation on core constitutional matters and resource distribution, and domestic revenue remains insufficient to fund expenditures on security and development needs.

Somalia continues to suffer from high levels of conflict and violence. Al-Shabaab (AS) continues to exploit divisions and conduct intermittent attacks to maintain control in rural areas. Conflict-related fatalities fell by 47 percent from 2017 to 2021, though they rose again by nearly 90 percent in 2022 and continued to rise in 2023, largely due to a large-scale government offensive against the group. The government offensive has had some success in recovering territory, and mobilizing local support against AS, but also faced setbacks to hold some territory. The African Union Mission in Somalia (AMISOM) had planned to depart Somalia at end-2021, though the Government and partners agreed to replace the AMISOM with the AU Transition Mission in Somalia (ATMIS) to operate until end-2024. Risks of instability may increase with ongoing discussion on the mandates, roles, and resources related to the transition to Somali forces. Insecurity exacerbates fragility, requires higher expenditures, limits access to parts of the country, and undermines the implementation of development activities.

Somalia's fiscal federalism is nascent, but progress has been made for the FMSs to assume more functional responsibilities, with corresponding increases in their resource envelope. Important parts of Somalia's federal model remain undefined, including agreement on a model for fiscal federalism—in other words,

which level of government has the power to raise and spend revenue. This is a critical pillar of the federal architecture, as it ultimately defines the level of autonomy that FMSs will have vis-à-vis the FGS. This makes it a very contentious issue, with FMSs seeking to maximize their autonomy and the FGS seeking to assert greater control. Competition between different levels of government over revenue sources can lead to conflict and political instability. Given the inequalities of the current arrangement, this may provoke further grievances between different groups, undermining critical development objectives. The FGS and the FMSs continue to advance the federalism agenda, though challenges remain. In March 2023, the National Consultative Council brought together leaders of the FGS, four out of five FMSs, and the Mayor of Mogadishu. High-level agreements were reached on creating a National Revenue Authority, the assignment of revenue responsibilities across levels of government, and the revenues that are to be shared between the FGS and the FMSs. In July 2023, the same group agreed on the distribution of external budget support. However, as described in Somalia's Country Engagement Strategy, the lack of political consensus between the FGS and all five FMSs impacts implementation of federal fiscal reforms.

Somalia has reached an important milestone with the HIPC Completion Point but reform momentum should be sustained to avoid re-accumulating debt arrears. The external debt stock is now significantly reduced and relatively manageable at around 6 percent of GDP. There are substantial risks of re-accumulating debt arrears unless significant bolder reform measures are implemented. While complete and irrevocable debt reduction is an important milestone in Somalia's development history and its future journey toward sustainable growth, post-HIPC experience shows that almost all nations that graduated from debt relief programs failed in achieving debt sustainability in the post-HIPC era (out of the 36 countries, 17 in moderate debt distress risk, 13 in high debt distress risk and five in debt stress). These HIPCs failed to maintain either growth-enhancing reforms, or sustainable fiscal policies, or proper debt management policies. Thus, there are substantial challenges and risks ahead, as the outlook is subject to ensuring that Somalia continues with major post-HIPC reforms to build resilience and promote inclusive growth and sustainable fiscal and debt policy.

4. Conclusion and Summary Policy Options

Supporting sustained and long-term growth in Somalia will require building economic resilience through persistent reform efforts.

Rebuilding the economy from the effects of the prolonged civil war will require maintaining macroeconomic stability, strengthening institutions, and advancing structural reforms that boost private sector development and job creation. The country can only finance much-needed investments if resources are available from both private investors and

development partners. Accessing resources from development partners will need to go in tandem with strengthening the governance environment, as the country taps into the post-HIPC CP dividends. Moreover, structural reforms are needed to reinvigorate private investment, including improving the business environment, unlocking access to finance, and connecting workers to jobs through investing in human capital.

Achieving Somalia's growth potential will need to be supported by structural reforms to boost private sector investment and jobs, access to financial services (banks, microcredits, and insurance), affordable electricity, and effective regulation. Thus, there is substantial potential for Somalia to: (i) increase renewable energy supply that is affordable and efficient; (ii) develop an adequate regulatory framework that can help reduce fragmentation and support growth of the power sector; (iii) create a pipeline of work to develop road infrastructure, as this offers the potential to deepen strategic corridors, and helps traders and producers reach a wider range of markets; (iv) implement tangible measures to deepen financial inclusion and enhance the stability of the financial sector; and (v) while Somalia's vibrant digital sector can be credited with supporting the expansion of affordable mobile money, to further expand digital inclusion going forward.

Now that Somalia has graduated from the HIPC CP, it will be essential for the authorities to maintain broad-based macroeconomic stability, and significant policies implementation. This includes strengthening domestic resource mobilization, containing the wage bill and security spending, advancing PFM reforms, and further strengthening debt management. In the short to medium term, Somalia should refrain from non-concessional external borrowing. Prioritizing concessional financing sources will allow the country to continue domestic reforms to boost growth, strengthen public finances, and raise more domestic revenues to ensure debt sustainability. Also, debt management functions should be institutionalized and the legal framework for debt strengthened, with a Debt Management Unit (DMU) being established in the civil service to ensure the sustainability of functions.

To enhance fiscal space for development priorities, the Government needs to raise more revenue and strengthen expenditure controls.

The Somali authorities should maintain the commitment to avoid running a budget deficit and to make timely payments supported by the fiscal buffer. Federal and state governments should continue efforts to improve tax policy by focusing on the harmonization of fiscal regimes for customs and inland revenues, which can also advance the federal agenda. Strengthening controls over the wage bill should be a priority, particularly regarding ad hoc personnel costs and allowances. Since wage bill expenditures account for more than half of all public expenditures, improving controls is critical for enhancing fiscal sustainability. As Somalia has reached the HIPC Completion Point, there may be opportunities to borrow to finance new investments in human capital and physical infrastructure. The FGS can take steps now to develop an adequate legal framework to support borrowing and strengthen capacity to manage fiscal risks, particularly if federal and state governments enter public-private partnerships and new concessions arrangements.

Advancing the agenda on federalism can help to improve the stability of the state.

The Provisional Constitution set the foundation for a federal structure in an effort to address the historical causes of conflict and instability. However, decisions on the federal model were deferred to the Constitutional Review Process, and further pushed to the 11th Parliament. To deliver public goods such as security, health and education services, decisions need to be made on how functions will be allocated at different levels of government (federal, state, and municipal or district), and how resources can support implementation. Strengthening public systems to deliver services can also help to increase citizens' trust in government. Advancing discussions on federalism can help to improve the stability of the state, which can enhance the overall environment for doing business.

SPECIAL FOCUS

SOMALIA CLIMATE CHANGE AND ADAPTATION POLICY ACTIONS



5. The Context of Climate Change in Somalia

The Federal Government of Somalia (FGS) has set poverty reduction, inclusive growth, and socio-economic development at the core of its National Development Plan for 2020–2024 (NDP9), as the country works to break cycles of crises arising from decades of conflict, political instability, and underdevelopment.

The country is highly vulnerable to climate hazards, including those exacerbated by climate change, yet the country receives little in the way of climate finance. The drought that began in Somalia in 2020 and continued until early 2023 resulted in famine that affected more than 6.6 million people (IPC, 2023). People faced extreme personal hardships, from the loss of livelihoods to hunger, misery, illness and death. All of this is difficult to monetize. However, the increase in humanitarian appeals, from US\$1.09 billion in 2021 to US\$2.27 billion in 2022 (OCHA, 2022), reflects the need for greater financial support to provide critical resources to these vulnerable people. Thus, there is a need to better understand what barriers and enablers exist in Somalia to access international support to address the adverse effects of climate change through climate resilient development, and to improve understanding of the tradeoffs in implementing various climate-related activities.

Embedding climate adaptation and disaster risk management (DRM) within socio-economic development and land-use planning can lessen vulnerabilities and exposure to climate change, thereby reducing climate change risks. The mitigation of greenhouse gas (GHG) emissions through a green energy transition, and sustainable land and water use can reduce the severity and extent of climate-related hazards, while adaptation to a changing climate and emissions mitigation will also reduce climate change risks. Not everyone will benefit equally, however, according to the ND-Gain Index, which measures countries' vulnerability

to climate change and the readiness to improve their resilience to climate change. While the ND-Gain Index ranks Somalia among the most vulnerable countries, it is also in a group of countries that receives the least climate finance. Other countries that are categorized as being in fragile and conflict-affected situations (FCAS) also consistently lag behind in accessing and receiving climate finance.

Somalia continues to face multiple and overlapping shocks that reduce economic growth and contribute to widespread poverty.

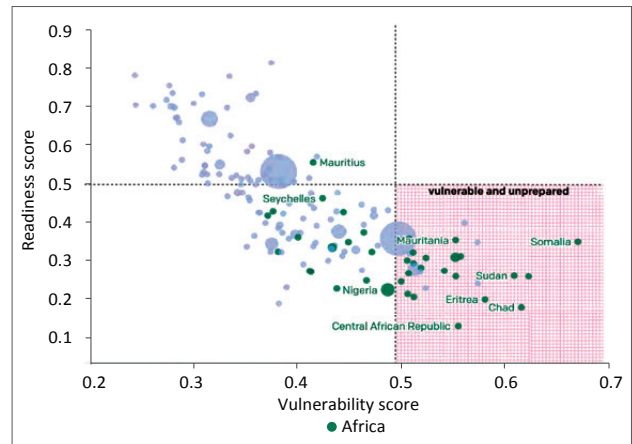
Climate change is making periodic droughts and floods more frequent and severe and is inextricably linked to Somalia's social and political vulnerabilities. Recurrent shocks, including a prolonged 2020–23 drought, disrupted Somalia's growth, devastating crops, livestock, and exports. Many fled their homes in search of food and water. The severe drought, coupled with global commodity price surges, intensified inflation, hampering household consumption. Somalia's vulnerability to climate change is rooted in its arid and semi-arid climate, with high temperatures, erratic rainfall patterns, and lack of investment in climate mitigation and adaptation, and its limited capacity in sound environmental management. The country's agriculture sector, which employs a substantial portion of its workforce, has been severely affected, leading to declining crop yields and livestock production. As Somalia has reached the HIPC Completion Point and debt relief has reduced the risk of debt distress to moderate, growth is expected to accelerate as reforms payoff, including reforms that were supported by the HIPC process, the Extended Credit Facility (ECF)-supported program, and IDA development policy financing. However, the outlook is subject to significant risks, including increasingly frequent climatic shocks.

The country has witnessed severe climate disasters, notably the longest drought in recent decades followed by severe flooding in vulnerable areas. There is some overlap in climate risk and poverty rates, with the poor vulnerable to climate change concentrated in the Shabelle river basin (floods), the northeast (excessive heat), and more broadly Somalia (three risks). Somali households are frequently exposed to shocks, with over two-thirds of the country's population reportedly having experienced at least one shock in 2021 or 2022 that severely affected their economic situation. Climate-induced displacements, heightened conflicts over scarce natural resources, and increased vulnerability among marginalized groups such as rural populations, women, and youth, exacerbate the country's fragility.

Somalia faces a multitude of climate risks that pose a serious threat to its future economic development, industrialization, trade, and urban development. Somalia is highly vulnerable to climate shocks that hurt growth and hinder poverty reduction efforts. Frequent shocks such as repeated climate-related weather events including cycles of droughts, floods, and locust infestations, have interrupted the country's economic trajectory. As a result, growth has been low and volatile, exacerbating the high poverty across the country. Acute climate disasters, especially prolonged droughts and inland flooding can have wide-ranging social and economic consequences for production and exports, food security, and social vulnerability and cohesion.

Somalia is the most climate-vulnerable country in the world. Somalia is ranked as the most climate-vulnerable country in the world by the Notre Dame Global Adaptation Initiative (ND-GAIN) methodology. It is also rated as being unprepared for climate change (Figure 5.0).

Figure 5.0: Country climate vulnerability index versus readiness index score



Source: Notre Dame Global Adaptation Initiative (ND-GAIN).

Note: The figure plots Country Climate Vulnerability Index scores against Readiness Index scores. Dots are sized by population. Index values vary from 0 to 1; higher values indicate higher vulnerability or readiness.

The interplay between climate impacts and Somalia's social and political fragilities amplifies the risks. Addressing the immediate risks posed by recurrent climate disasters requires investments in disaster risk management (DRM), such as strengthening emergency response architecture, climate information systems, and integrating DRM into strategic and spatial planning for key sectors, along with adaptive social safety nets and a national disaster risk financing strategy. Other key strategies include enhancing the resilience of rural livelihoods and natural resources, and investments in water management systems.

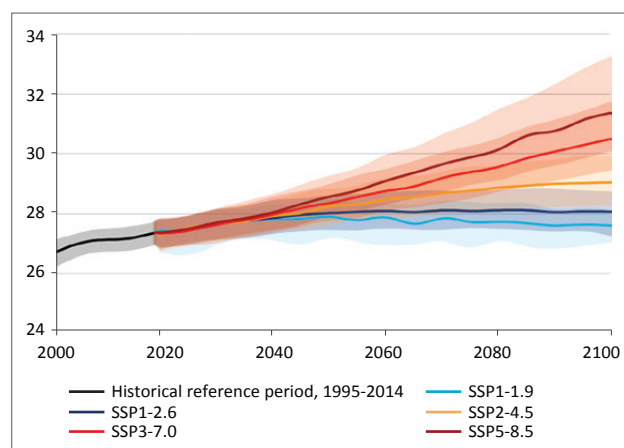
Poverty remains high, with over half of the Somali population living below the national poverty line in 2022. There are also large spatial differences, with the nomadic population having the highest poverty rate, while the poverty rate is lowest among in urban areas. However, due to the country's high urbanization, driven by conflict and climatic shocks, just under two-thirds of poor individuals reside in urban areas.

6. Climate Trends and Impacts

6.1 Climate Overview

Somalia's natural and human geography is shaped by its harsh climate. Lying at the eastern extremity of the Sahel, Somalia has an arid to semi-arid climate. Average annual rainfall is under 200 millimeters in much of the country, although it is significantly more in the northern highlands and the south. Mean daily maximum temperatures exceed 30°C in most areas, although they fall much lower in the northern highlands and are tempered by cool offshore currents along the eastern seaboard. Most of Somalia's land area is covered by desert and semi-desert ecosystems, with sparse or seasonal grassland vegetation. Over 50 percent of the country supports only extensive, nomadic pastoralism, with just 13 percent suitable for cultivation, including seasonal agropastoralism, and a much smaller irrigated agropastoralism zone located along the two main river valleys (the Shabelle and the Juba). These limited agricultural areas, and nearby or coastal cities, support the vast majority of the population (Figure 6.1).

Figure 6.1: Projected mean annual temperature (°C)

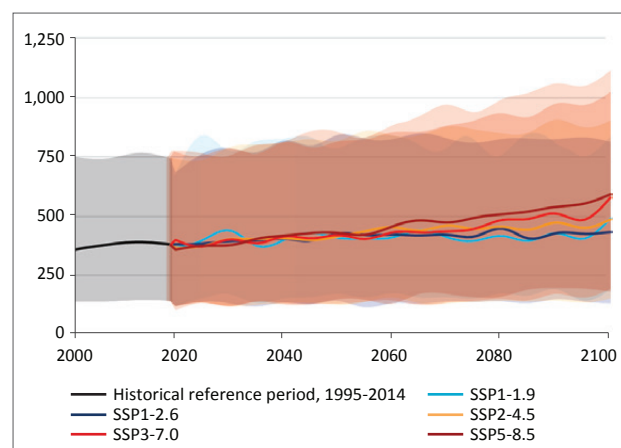


Source: World Bank Climate Change Knowledge Portal: Somalia

By the end of the century, Somalia's climate is likely to be significantly different—and probably even harsher. Unless global climate action accelerates markedly, average temperatures in Somalia are likely to be at least around 3°C higher by the end of the century than at present, which means the country would be hotter than any nation is currently (Mali and Burkina Faso are the hottest countries, at a little over 29°C) or has been within human history. Rainfall trends are uncertain: a moderate increase in rainfall is the most likely outcome over the course of the century, but Somalia could either become significantly more arid (close to a pure desert country such as Qatar) or significantly wetter (becoming a generally semi-arid country such as Kenya). If realized, such changes would have profound effects on both natural and agricultural ecosystems.

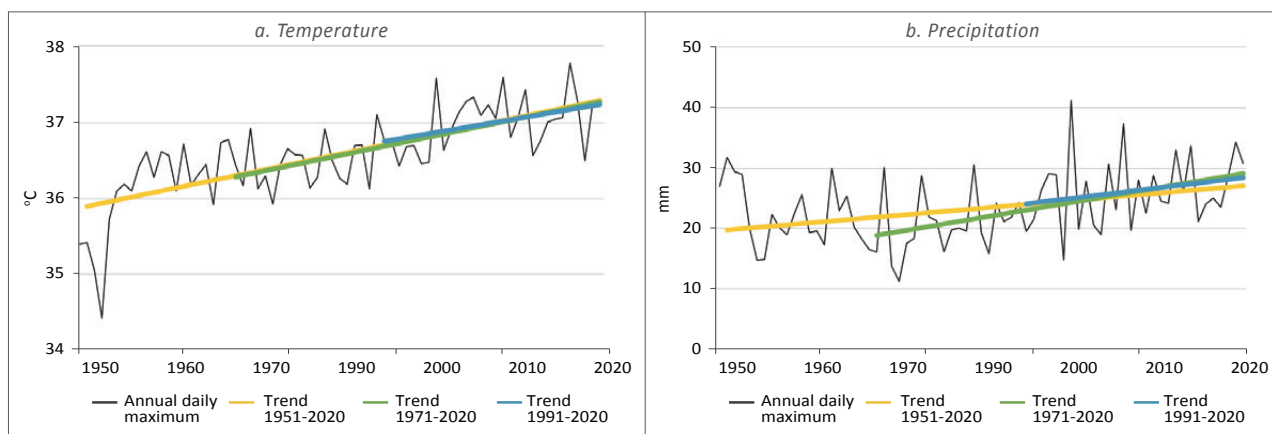
In addition to the changes in mean conditions, variability and occurrence of climate extremes are also expected to increase. Recent trends toward increasing numbers of extremely hot and wet days are likely to continue or accelerate.

Figure 6.2: Projected mean annual precipitation (mm)



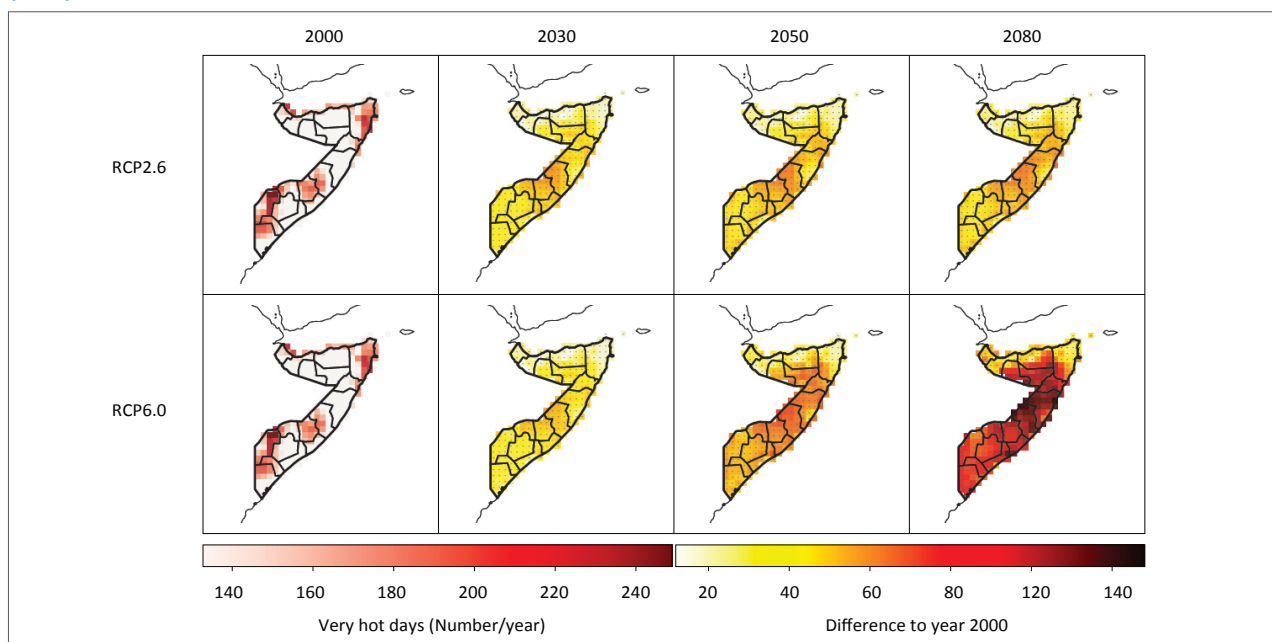
Source: World Bank Climate Change Knowledge Portal: Somalia

Figure 6.3: Trends in Somalia's largest daily maximum temperature and precipitation



Source: World Bank Climate Change Knowledge Portal: Somalia.

Figure 6.4: Projections of the annual number of days (with max. temperature above 35°C) for different greenhouse gas (GHG) emissions scenarios



Source: PIK/Adelphi 2022.

6.2 Climate Disasters

Currently, the most critical risks for Somalia—those that already have massive human and economic impacts likely to persist or worsen—are major climate disasters, especially drought and inland flooding. Since 1965, Somalia has endured multiple severe droughts, as well as floods and storms. Since 2012, an average of 1.8 million people per year have been affected by

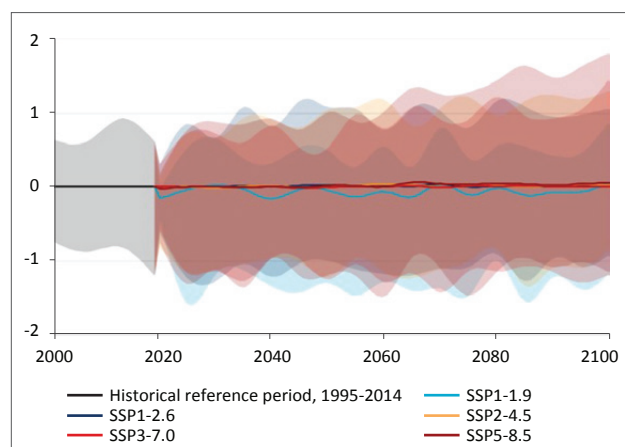
extreme weather and associated disasters, with droughts accounting for the largest share.⁶ Two consecutive below-average rainfall seasons (fall 2010 and spring 2011) devastated livestock and crop production, causing an increase in food prices and leading to severe famine.⁷ Since then, famine conditions have been averted through the provision of emergency funding and food aid across Somalia during drought events (Heslin and Thalheimer, 2020).

⁶ Source: EM-DAT database.

⁷ Sources: Integrated Food Security Phase Classification IPC-CH Dashboard; World Bank Open Data.

Droughts are Somalia's most frequent and costly natural disasters. They can occur anywhere in the country and have very strong poverty linkages. It is the most common shock reported by households, as well as affecting the largest share of population (according to geospatial analysis). Severe and prolonged droughts are highly likely to be a prominent feature of Somalia's future climate for decades to come, although long-term trends are uncertain due to the range of potential precipitation outcomes. While low levels of precipitation are a key driver of droughts, higher temperatures cause greater evapotranspiration, which also contributes to reducing soil moisture. Even under the most likely precipitation scenarios, which predict a moderate increase in mean rainfall, drought occurrence is likely to be at least as frequent as at present, or even to increase, due to increased temperatures driving higher soil water loss through evapotranspiration and high rainfall variability bringing more dry spells.

Figure 6.5: Projected annual SPEI Drought Index



Source: World Bank Climate Change Knowledge Portal.
Note: Negative values of the Standardized Precipitation Evapotranspiration Index (SPEI) indicate higher likelihood of drought, i.e., this graph is suggesting outcome is uncertain, but a slight trend toward increasing drought is more likely

Somalia is also highly vulnerable to fluvial, pluvial, and coastal floods. However, the temporal and spatial scales differ between flood types, with pluvial flooding driven by local and immediate events, whereas fluvial

flooding⁸ responds to precipitation across river catchments, often accumulating over a period of weeks. Somalia already has very high variability in rainfall, and this will continue in the future. Inter-annual variability is projected to increase relative to the present day, resulting in more frequent wetter and drier years relative to the mean. Heavy rainstorms are projected to increase in frequency and intensity. A recent World Bank study estimates that between 15 and 20 percent of Somalia's total population is exposed to a 15 centimeter (cm) or more flood risk. In the Juba and Shabelle river basins, this figure rises to between 20 and 30 percent (Rentschler and Salhab, 2020). Agriculturalists and the urban poor are typically the most exposed to floods.

6.3 Chronic Climate Change Stresses on Agricultural Productivity

Agriculture, including crop production and livestock husbandry, is essential to the livelihoods of the rural population. It is also essential to the country's food security and economic growth prospects. Climate impacts on agriculture and livestock have very direct poverty implications. Pastoralists have the highest poverty rates in the country and are poorly integrated into the wider national economy, including limited access to veterinary services (Plaza and Cerruti, 2022). This severely limits opportunities to manage climate risk to livestock effectively and efficiently. Rural poor households' limited assets and social networks mean that they are unable to substitute for income and subsistence food losses resulting from livestock loss and crop failures. Even moderate losses can cause severe hardship, and distress sales can severely compromise poor rural households' abilities to reestablish secure livelihoods. Failure of successive growing seasons is a major driver of internal displacement. Displaced households frequently

⁸ Fluvial floods are common along Somalia's two major rivers. The Shabelle and the Juba flood regularly after the Gu (March–June) and Deyr rains (October–December).

abandon their agricultural assets, making it very difficult to reestablish their livelihoods at a later stage.

Erratic weather patterns and prolonged dry spells are a constant constraint on Somalia's agricultural production, particularly in the absence of widespread irrigation. Crop yields are particularly sensitive to water stress in the middle portion of the growing season. Despite the probability of modest increases in overall rainfall, the more pronounced increase in temperature is likely to have a greater impact on crop production, with an increasing probability of failed growing seasons. Livestock production is also coming under increasing threat. Reasons for this include climate change-related water shortages, lack of availability of and access to good pasture, invasion of unpalatable plant species, deforestation and other forms of land degradation, animal diseases, and natural shocks such as drought (FRS, 2018).

Rising temperatures between the months of September and March may cause the soils in Somalia to become drier. Dry spells may increase in frequency and duration, and the projected increase in temperature will also increase evapotranspiration and, hence, crop water demand (Richardson et al., 2022). Staples, such as maize, sorghum, and millet will struggle with rising temperatures in Somalia. Projections suggest crop yields across SSA will decrease by 10 percent under warming scenarios of 2°C, and up to 20 percent beyond 2°C (Carleton, 2022). Beyond a temperature increase of 3°C, all present-day cropping areas for maize, millet, and sorghum in Somalia are likely to become unsuitable. Somali cereal production levels have not increased in the past 60 years. Studies have typically suggested a high level of current crop losses in Somalia due to climate change of around 30–50 percent. According to the Somalia Agriculture Technical Group (SATG), these grain losses (of the total harvest) rise to

an average of 20–30 percent in Somalia and these losses may exceed this range in some cases. The greatest determinant of yields will be water availability, and the high uncertainty in predictions for Somalia means that there are currently no robust predictions.

Projected shifts in weather patterns are also likely to provide suitable environments for an increasing incidence of crop pests and disease. This will affect agricultural livelihoods and food availability across the region (Richardson et al., 2022). There may be a reduction in the prevalence of some vectors if climatic conditions become too warm or humid for them to thrive. At present, however, making robust predictions of likely pest and disease impacts is not possible, as there is inadequate understanding of the specific relationships between weather events, including seasonal patterns, and the severity of impact of individual pests and diseases.

Shortages of water and associated pasture growth also contribute to reduced productivity and reproductive performance of livestock. This includes a slow growth rate of animals, deterioration in body condition, reduced milk production, and poor reproductive performance in mature animals. Changes in temperature may compromise the quantity and quality of forage by increased lignification of plant tissues, reducing digestibility and the rate of degradation.

Heat stress on livestock is also a threat given that it decreases livestock productivity through reduced food intake and weight loss, reducing the chances of survival and reducing fertility (Bernabucci et al., 2010; Lallo et al., 2018; Nardone et al., 2010). Average maximum temperatures and the number of very hot days each year (daily maximum temperature above 35°C) are projected to increase with high certainty across the country, with central Somalia—an important area for livestock—particularly badly affected. The frequency of severe heat stress



for livestock is estimated to have increased significantly within the recent past in 4–19 percent of East Africa. It is most pronounced for dairy cattle (26 percent of the area), while heat stress risks for sheep and goat production only increased 4–7 percent (Rahimi et al., 2022). The main response strategy to livestock heat stress is higher water consumption, which is challenging where availability of water resources is already constrained (discussed above), as in much of SSA (Porter et al., 2014).

Climate change shifts key environmental factors that influence the abundance of pests, pathogens, and vectors that affect livestock.

These effects are species specific, and in many cases poorly understood, yet some predictions can be made (Richardson et al., 2022). Somalia has suitable environments for Rift Valley Fever (RVF). For example, *Ae. Aegypti* (the vector for RVF) is expected to be favored by temperature and rainfall increases, hence RVF incidence is likely to increase in the future (Diallo et al., 2022). Historically, RVF outbreaks have been most severe in the southern and central parts of Somalia, but in future may become more common in the north of the country (Diallo et al., 2022). Projected future increases in the frequency and severity of El Niño events will pose serious challenges for managing RVF outbreaks.⁹ Predicted increases in temperature are also expected to spread the tsetse fly, and therefore African trypanosomiasis. Increased flooding of fragile ecosystems can also lead to outbreaks of desert locusts, African RVF, tsetse fly, or other vector-borne diseases, as well as to outbreaks of animal diseases as berkads (sub-surface water reservoirs) become contaminated (FRS, 2013).

Marine fisheries are also expected to be impacted by climate change through changes in ocean current that may disrupt the upwelling that drives the productivity of Somali waters. Moreover, it is also expected to

be impacted by increases in water temperature (and therefore decreases in dissolved oxygen) driving away active species, such as tuna, which are intolerant of low oxygen levels. To date, the Somali upwelling does not seem to have been impacted, but climate change is already altering water temperature and various aspects of ocean bio-geochemistry off Somalia's coast (World Bank, 2021a). Recent modeling (MEP, 2021) indicates that by the end of the century under a strong climate change scenario the Somali upwelling system will be about 20 percent less productive overall, and sea surface temperature will rise by 4°C overall. More than a 3°C rise relative to baseline conditions is considered catastrophic for most coral species, which in Somalia will occur as early as the 2050s. The surface waters of the Somali Economic Exclusion Zone (EEZ) and upwelling region will become unsuitable thermal habitat for adult yellowfin and bigeye, and for tuna larvae from as early as the 2060s. Climate change is likely to have a substantially impact on mangrove ecosystems in Somalia due to sea-level rise of 1.1 to 3.8 meters, changing ocean currents, increasing the intensity of storms, increasing temperatures, changing precipitation patterns, and reducing overall oceanic acidity (pH) (Ward et al., 2016).

6.4 Heat Stress and Human Health

High temperatures and humidity place physiological stress on human bodies, reducing productivity and eventually leading to a range of chronic and acute health problems.

Heat stress results in lost labor productivity as people adapt physiologically (sweating) and behaviorally (self-pacing). When heat stress exceeds the body's ability to maintain a comfortable core temperature, a range of heat-related illnesses can occur (Cheung, Lee and Oksa, 2016). High temperatures can exacerbate cardiovascular disease (Cosselman, Navas-Acien and Kaufman, 2015), strokes, renal diseases (Barraclough et al., 2017), neurodegenerative

⁹ See for example, Ying et al. (2022).

diseases (Killin et al., 2016), and type 2 diabetes (Cook, Wellik and Fowke, 2011). During extreme heat events, people with existing cardiovascular disease are at greater risk of hospitalization and death. Extreme temperatures (particularly sustained wet bulb temperatures above 36°C) can be fatal.

Heat stress will affect agricultural production and urban residents. Occupational heat-related mortality is 35 times higher among agricultural workers than workers in other industries. Agricultural workers in Somalia are often exposed to hot environmental conditions. Hyperthermia from exertion and environmental conditions during agricultural work can trigger a range of symptoms and may lead to the death of workers. Somalia's cities and towns are all likely to experience urban heat island (UHI) effects, in which temperatures can be 1–3°C higher than outlying areas. Structures such as buildings, roads, and other infrastructure absorb and re-emit the sun's heat more than natural landscapes, including forests, grasslands, and water bodies. In addition, UHI effects can cause smog to form, trapping particulate matter and other urban pollutants into aerosols that harm human health.

Changing rainfall patterns and rising temperatures will affect the geographic range and incidence of vector-borne diseases, including malaria, dengue, and RVF. These

diseases are all transmitted by mosquitoes, whose range is largely determined by temperature, humidity, and the availability of standing water. Recent modeling of malaria prevalence across Africa suggests that the incidence of malaria in Somalia may reduce over time. This is in contrast with the rest of East Africa, where a rise in endemic cases of malaria is projected across the region. Conversely, dengue and RVF, which are spread by a different mosquito species, are predicted to increase in the future (Diallo et al., 2022). Increasing urban populations and spells of high rainfall under El Niño conditions are additional risk factors for dengue and RVF, respectively.

There is a well-understood strong positive association between the prevalence of gastrointestinal diseases and high temperatures. In addition, widespread outbreaks of many waterborne diseases such as cholera, cryptosporidium, E. coli infection, giardia, shigella, typhoid, and viruses such as hepatitis A have strong links to extreme weather events (WHO, 2003). Floods frequently contaminate drinking water sources and increase the prevalence of diarrhea and other waterborne diseases. During droughts, restricted access to clean water and/or large numbers of internally displaced persons (IDPs) crowded together with inadequate access to water and sanitation can give rise to rapid increase and spread of diarrheal diseases.



7. Social and Economic Impacts

Climate change in Somalia is characterized by recurrent drought and regular inland flooding, leading to failed crops, loss of livestock, and Somalia's chronic food insecurity.

Climate crises threaten Somalia's socio-economic progress by increasing water and food scarcity, the need for humanitarian assistance, displacement, and the degradation of traditional livelihoods. Climate change and natural disasters increasingly affect people's well-being and development prospects. A recent World Bank study shows that climate change may cause 216 million people to migrate in their own country by 2050 and push as many as 132 million people into poverty by 2030 (World Bank, 2021). Fragile contexts such as those in Somalia have recently faced cyclical climate-induced shocks from drought, to flooding and locust infestations. Because of Somalia's economy reliance on natural resources and man-made degradation of natural resources such as charcoal production and overgrazing, climate change could make the country more vulnerable to poverty and food insecurity. Greater drought exposure tends to decrease consumption by a significant margin in rural Somalia, increasing poverty levels. This adverse impact of climate change on the poor will be far-reaching.

The recent drought in Somalia was among the most devastating in recent history.

Following news about numerous livestock deaths from shortage of water, grim stories of human suffering started to emerge. Drought dampened economic activity in 2022, wiping out the agriculture sector and intensifying a humanitarian crisis. Relentless drought and high food prices weakened household livelihoods

and purchasing power. The drought was the longest—it started in late 2020 and continued up to early 2023—and most severe in recent history. Indeed, it surpassed the 2010–2011 and 2016–2017 droughts in both duration and severity. The debilitating drought left Somalia on the verge of a humanitarian catastrophe, destroying crops and livestock, and forcing huge numbers of people to leave their homes in search of food and water. Drought also decimated the performance of the agriculture sector as one-third of all livestock in the worst-affected areas had died since mid-2021. In addition, crop production remained extremely poor. This intensified a humanitarian crisis, with nearly half of the population being food insecure, and 1.3 million people being displaced.

Most of Somalia's many climate challenges are high-frequency events or chronic processes that affect the poor disproportionately and are likely to increase with climate change.

The extent and burden of climate impacts will shift due to both climate change and wider socio-economic trends. Demographic growth and economic development will expose more urban and infrastructure assets to flood hazards, and shifting climate conditions will put more chronic stress on livestock and agricultural systems, human health and productivity, and the water supply. Extreme events such as droughts and floods currently impose the largest economic impacts, but slow-onset impacts on agriculture and human health may surpass them in future. Biophysical effects of climate change impact the economy through a number of impact channels, the main ones of which are discussed below (Table 7.1).

Table 7.1: Summary of Somalia's climate risks with magnitude and trend measures

Sector	Risk 	Frequency 	Economic cost 	Mortality 	Poverty linkage 	Climate trend 
Climate disasters 	Drought	3	5	5	5	4
	Fluvial and pluvial floods	3	4	2	5	4
	Coastal flooding	2	3	2	5	4
Agriculture and livestock 	Locusts	1	4		5	4
	Crop stress	5	3?		5	3
	Agricultural pests & disease	2	3		5	3
	Heat stress on livestock	5	4?		5	5
	Fodder availability	5	4?		5	4
	Livestock pests and disease	5	4		5	3
Natural resources 	Terrestrial ecosystems	5	2?		5	4
	Fisheries	5	2		4	4
Health 	Heat stress	5	3	3	5	5
	Vector-borne disease	5	3	5	4	3
	Gastrointestinal disease	5	3?	3	4	5
Infrastructure and services 	Degradation of infrastructure	5	3?		3	4
	Disruption of energy supply	5	1		3	3
	Disruption of water supply	5	3?		4	4

KEY:

1 Rare	<\$1 million	1 <10	Very weak	1 Strong decrease
2 Occasional	\$1–\$10 million	2 10–100	Weak	2 Weak decrease
3 Frequent	\$10–\$100 million	3 100–1,000	Neutral or unclear	3 No clear trend
4 Routine	\$100 million–\$1 billion	4 1,000–10,000	Strong	4 Weak increase
5 Chronic	>\$1 billion	5 >10,000	Very strong	5 Strong increase

Note: Impact is figured per event, or per year for routine or chronic events, for economic cost and mortality. **Frequency** ranges from rare (multidecadal), to occasional (once or twice a decade); to frequent (at least 50 percent of years); to routine (generally every year); to chronic (constant impact, not discrete acute events). Economic cost is figured in US\$ and includes damage and losses; those that are particularly uncertain are denoted with a “?”. **Mortality** is indicated if applicable. **Poverty linkage** is whether impact disproportionately affects the poor, with a very weak link meaning the poor are much less affected than others, weak less affected, neutral affected similarly to others, strong affected more, and very strong meaning the poor are much more affected than others. **Climate trend** reflects strength of expected change in climate stressors influencing risk, as well as the strength of their influence on the risk (as most risks will be complex processes involving many drivers).

7.1 Damage and Physical Capital

Disruption of infrastructure and associated services (largely associated with flooding, but also the direct effects of heat) can be a major drag on the economy, particularly affecting the development of trade and urban economies.

Roads and air transport are particularly vulnerable to flooding and high temperatures. Before the civil war, Somalia had 15 operational ports. In recent years, only four ports—Mogadishu, Bossaso, Berbera, and Kismayo—have been fully operational and are most vulnerable to storm surges and sea-level rise. Somalia's residential building stock of largely

of poor quality and offers little protection from flooding and heat. Somalia is ranked lowest of all African countries in the African Development Bank's Africa Infrastructure Index (AfDB, 2020). Around 90 percent of Somalia's primary roads require extensive rehabilitation: only 13 percent of its roads are paved, with the remaining earth or gravel. Poor maintenance has impaired the quality of many roads, including paved routes. Seasonal flooding frequently makes roads inaccessible or impassable. Moreover, in a hot country like Somalia, the potential risk to paved road surfaces is high.

Electricity supply in the country is fragmented and extremely limited, based on mini- and micro-grids operated by private sector energy service providers (ESPs). Almost all of these are currently powered solely by diesel generators (Aynte et al., 2022), but there are a few hybrids mini-grid systems that combine diesel with wind and/or solar power.¹⁰ Wood fuels remain the overwhelming source of domestic energy in Somalia. However, the current relevance of these risks to Somalia is low, as there are currently no large thermal power plants, and very limited distribution infrastructure or power generation based on renewables.

Urban water supply could become a major challenge in future, although much of the change will be driven by the increase in population and demand rather than climate.

Rising temperatures and changes in runoff patterns—within Somalia and upstream in Ethiopia—are expected to influence the future yield of both groundwater and shallow water (Gökçekuş, Kassem and Yusuf, 2022). The water and sanitation sector is already underdeveloped in Somalia, with only 56 percent of the population having access to a basic water supply. A recent survey, covering 15 of Somalia's 18 regions, found that around 65 percent of households had no access to safe drinking water, with the current ongoing drought being a major reason for this (SCS, 2022).

The costs imposed on Somalia's economy by the impacts of climate change on its infrastructure are yet to be systematically estimated. Despite the relative frequency of floods, the direct costs of physical damage to infrastructure are probably relatively modest compared with many countries simply because stocks of infrastructure remain low. Major floods can result in several hundreds of million dollars in losses and damage to infrastructure. Damage from coastal flooding is limited at present, but later in the century major coastal floods could result in hundreds of million dollars in damage due to increased sea level and far greater coastal asset stocks (based on data below). The failure to provide and maintain key infrastructure to support robust water, transport, energy and cooling services in the face of climate pressures is likely to be a major constraint on development and economic diversification, and therefore the opportunity costs are likely to be very high.

7.2 Impacts on Labor and Human Capital

There are no Somalia-specific studies on the impacts of heat on labor productivity. A recent diagnostic covering several locations in East Africa suggested that, by end of century, productivity losses in locations similar to Somalia could range from 6 to over 13 percent in high-intensity work, from 2 to 8 percent for medium-intensity work, and up to 2.5 percent for low-intensity work. Other international studies

Table 7.2: Projected impacts of coastal flooding with 25-year return period, excluding damage to crops and livestock

	Baseline 2010	2030	2050	2080
Urban damage (annual, US\$ million)	25	200	650	2,500
Affected population ('000 people)	3	10	14	24
Affected GDP (annual, US\$ million)	1.3	9.2	27	120
Proportion of GDP (%)	0.03	0.07	0.09	0.13

Source: World Resources Institute: <https://www.wri.org/aqueduct>

Note: These figures are derived from a global dataset with limited direct empirical inputs, and hence should be treated with some caution. The World Resources Institute Aqueduct flood risk tool uses a cascade of models within the Global Flood Risk with IMAGE Scenarios (GLOFRIS) modelling framework. The methodology is described in full by Ward et al. (2020).

¹⁰ NESCOM, a large ESP in Garowe, and BECO, a large ESP in Mogadishu, are two examples of successful hybrid systems. Details of these experiences are documented by Aynte et al. (2014).

have suggested higher losses (e.g. Roson and Sartori, 2016; Table 7.3). Based on an existing temperature rise of 1°C, and on an assumption that the value of agricultural and other exposed forms of labor exceeds US\$1 billion, the current cost of heat stress is conservatively estimated to lie in the range of US\$10–US\$100 million per year. Current heat-related mortality is estimated at around two deaths per 100,000 people (or over 300 in total) per year (PIK/Adelphi, 2022).

The costs of climate-related diseases are estimated to increase significantly. Based on extremely broad extrapolations from international estimates, the costs of climate-related diseases (i.e., vector-borne and gastrointestinal disease) may be in the order of several tens of millions of dollars per year (Climate Risk Review). How this burden will increase with climate change is not well understood, but it is likely to increase significantly. Droughts are also associated with a high human capital impact and mortality rate. UNICEF (2022) estimates that the severe drought-related famine of 2011 killed about 260,000 people in Somalia—more than half of whom were children. The main causes of death were malnutrition, diarrhea, and measles. Human health impacts have a set of implications for human capital that affect productivity and growth more broadly, particularly in relation to efforts to industrialize the economy or develop higher-value service sectors.

7.3 Agricultural Production

Currently, climate disasters have the biggest impacts on agricultural and rural production, particularly drought, which is much more widespread than inland flooding. Assessment of the 2016–17 drought estimated economy-wide losses over US\$3.3 billion, mostly in the agriculture and livestock sectors (FGS, 2018). Livestock and crop losses affected 17 out of 18 regions in the country and there were significant price increases for key staples. In 2016, GDP growth dropped by around 3.5 percent and wages temporarily dropped by around 6.9 percent during the acute drought period, although they rapidly recovered (increasing slightly) soon after the drought broke.

Livestock production is several times the size of crop production in Somalia, at around US\$3 billion per year. Typical losses from climate-related impacts on pasture productivity and animal health may be in the order of a few hundred million dollars per year (World Bank, 2023). Outbreaks of livestock disease can result in significant losses of exports due to the imposition of import bans in market countries. For instance, the 2006–07 RVF outbreak in Somalia is estimated to have resulted in total economic losses to the livestock sector of around US\$470 million at 2007 prices (FAO, 2017). Moreover, the average annual losses to camel milk and meat production from one species of

Table 7.3: Heat impacts on labor productivity, by sector (percentage change)

Agriculture				
+1°C	+2°C	+3°C	+4°C	+5°C
-3.51	-7.73	-12.82	-18.21	-24.87
Manufacturing				
+1°C	+2°C	+3°C	+4°C	+5°C
-1.23	-3.14	-5.54	-8.41	-11.84
Services				
+1°C	+2°C	+3°C	+4°C	+5°C
0.00	-0.11	-1.33	-2.33	-2.88

Source: Roson and Sartori, 2016.

trypanosome has been estimated at a couple of hundred million dollars (Salah, Robertson and Mohamed, 2015), implying that losses brought on from that disease alone could be about twice as high.

The fisheries sector also holds substantial potential for Somalia, provided governance improves. Somalia has a productive marine ecosystem due to seasonal upwelling along its Indian Ocean coast. However, weak governance is a major constraint, due to the lack of an adequate regulatory environment, insufficient coordination between the federal and regional fisheries ministries, and a lack of monitoring control and surveillance. The value of commercial fishing in Somali waters has been conservatively estimated at around US\$135 million annually (SomInvest, 2022). Future catch reductions by 2100 due to climate impacts (based on the modeling described above) are very uncertain, but range between 9.5 percent (RCP 2.5) and 60.9 percent (RCP 8.5).

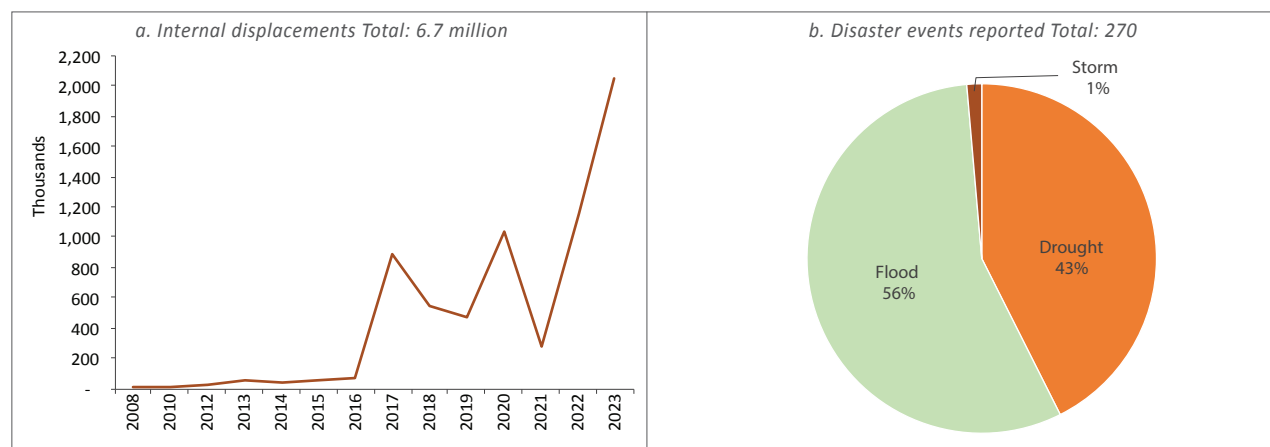
Losses to agricultural and rural productivity have wide-ranging social and economic consequences on exports, food security, social vulnerability and cohesion, and have also contributed to entrench Somalia's governance and conflict crises. Addressing increasing stresses on rural livelihoods will be critical to the

ability of the agriculture, livestock, and fisheries sectors to ameliorate rural poverty, improve food security, improve the balance of trade, and contribute to overall economic growth.

7.4 Large-scale Displacement

Devastation of the rural economy, particularly from the effects of drought, combined with high levels of conflict and insecurity, has resulted in the large-scale displacement of the Somali population. Drought is the biggest single driver of internal displacement, which creates a raft of additional vulnerabilities, particularly for women and other vulnerable groups. Because these events can also trigger conflicts, the combined economic impact is far-reaching and complex. Between 2008 and 2023, almost 6.7 million people were displaced (IOM, 2024), and climate-related disasters are most commonly reported as the cause of displacement. Statistical analysis of displacement, conflict, and weather data over 2016–18 shows that temperature anomalies from 1°C to 2°C (which commonly occur in Somalia) led to an approximate tenfold increase in IDPs. A reduction to 50 mm in monthly rainfall from 100 mm is associated with an approximate doubling of IDPs, and a further reduction in precipitation from 50 mm to 0 mm leads to another fourfold increase in predicted IDPs (Thalheimer, Schwarz and Pretis, 2023).

Figure 7.1: Weather-related disasters in Somalia, 2008–23



Source: Based on International Displacement Monitoring Centre Dashboard, Somalia.

7.5 Poverty and Vulnerability

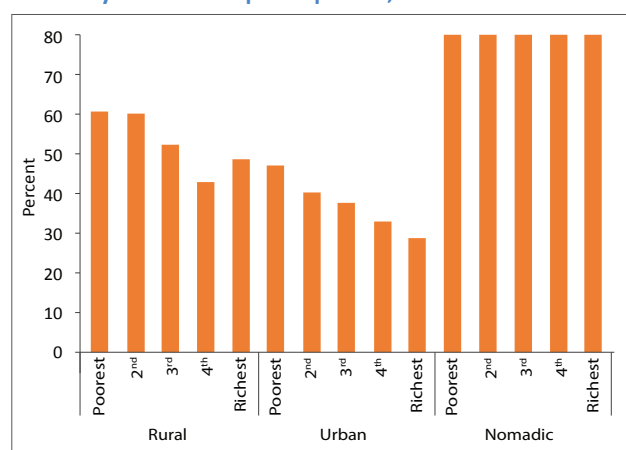
Almost all climate risks affect the poor disproportionately because they are more exposed to climate risks and less able to buffer the impacts. Initial findings of the upcoming Somalia Poverty Assessment reveal that over 40 percent of the Somali population live in areas that have been exposed to either drought, extreme heat, or extreme flooding, and with over two-thirds of the country's population reported having experienced at least one shock in 2021 or 2022 that severely affected their economic situation (World Bank, 2024). Regions with higher poverty rates typically have a larger share of the population that has been exposed to a climate shock, with most affected by drought, the Shabelle river basin most often affected by floods, and the northeast exposed to excessive heat.

The poor are more exposed to climate impacts because they are more likely to work in vulnerable sectors and live in vulnerable settings. Impacts of drought are focused on nomadic and rural residents (affecting 87 and 53 percent, respectively, in 2022), although they are also remarkably widespread, with 36 percent of urban residents also affected. Richer urban (and to a lesser extent rural) households

are less likely to be impacted by drought, but within nomadic populations, the impacts are relatively even across economic classes. The poor are at much higher risk of heat stress due both to exposure being most severe for those engaged in physically demanding work outdoors, particularly agricultural workers and construction laborers. Furthermore, poorer urban and internally displaced populations are usually the most affected by urban heat islands, as they live in crowded conditions, with limited tree cover and open green areas, and their buildings are poorly constructed, poorly insulated, and often have metal roofs (Li et al., 2021).

The poor have far fewer and less effective coping strategies available to them. Pape and Wollburg (2019) identified significant adverse impacts of the 2016–17 drought on poverty, consumption, and hunger. However, richer households have much greater capacity to cope with impacts through relying on savings, whereas poorer households are much more likely to resort to maladaptive responses, including reduced food consumption, removing children from school, sale of land or livestock, and displacement. Rural poor households' limited assets and social networks mean that they are unable to substitute for income and

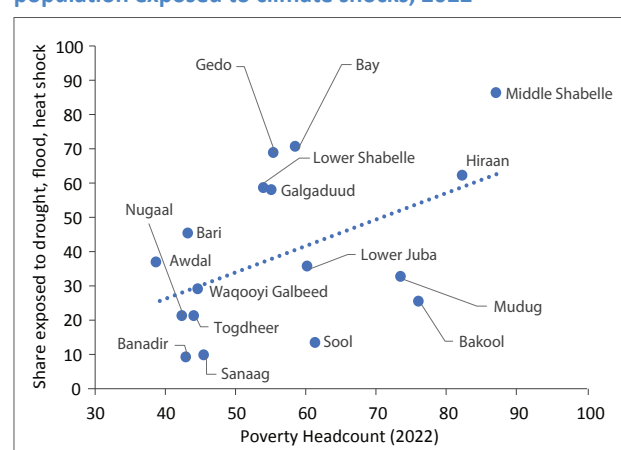
Figure 7.2: Share of households affected by drought by residency and consumption quintile, 2022



Source: Somalia Poverty and Equity Assessment, Forthcoming; WorldPop, FAO, GFDRR and Fathom (version 3).

Notes: Drought hazard is defined as areas where at least 30 percent of cropland/grassland have experienced drought (VHI below 35) for the past 39 years. Percentage of people exposed to extreme heat (33°C day max WBGT). Percentage of people exposed to river flood hazard (inundation depths of at least 50 cm during 1-in-100-year flood events).

Figure 7.3: Poverty headcount by region and share of population exposed to climate shocks, 2022



subsistence food losses resulting from livestock loss and crop failures. Even moderate losses can cause severe hardship, and distress sales can severely compromise poor rural households' abilities to reestablish secure livelihoods. Failure of successive growing seasons is a major driver of internal displacement. Displaced households frequently abandon their agricultural assets, making it very difficult to reestablish their livelihoods at a later stage. Pastoralists have the highest poverty rates in the country and are poorly integrated into the wider national economy, including limited access to veterinary services (Plaza and Cerruti, 2022). This severely limits their opportunities to manage climate risk to livestock effectively and efficiently. Mobility is important to Somali pastoralists to respond to the spatial-temporal heterogeneity of forage resources, but increasing barriers to mobility have contributed in a significant way to the increased severity of drought impacts in the country. Work-related exposure to extreme heat is also exacerbated where people are more dependent on day-to-day income, and unable to take breaks or access cooling solutions (air conditioners, cold water, etc.). Poor families may be unable to access or pay for medical care to treat heat-related health problems (Gronlund, 2014).

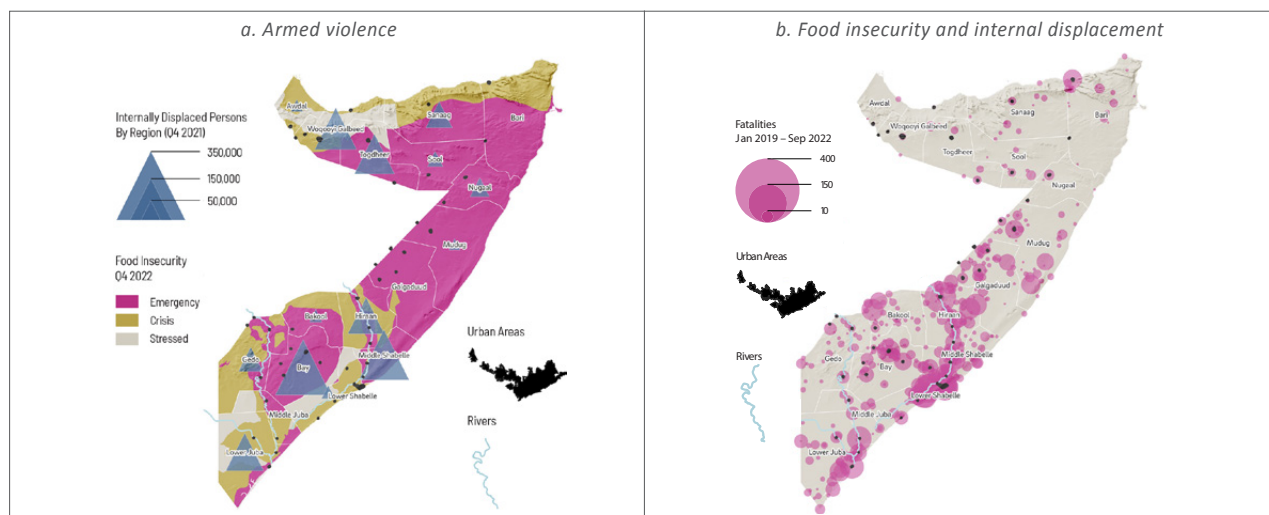
Despite some progress, social vulnerability and fragility remain high in Somalia. Social fragmentation is a prevalent feature of Somali society, and in the absence of trusted public institutions, communities increasingly rely on informal networks and traditional structures. Certain categories of citizens stand out as being more disempowered and disadvantaged than others. These groups are discriminated against in existing legal and political institutions, through social norms and values, and by the clan-based system of power relations that underpins social organization. Markers of exclusion include gender, ethnic and/or clan identity, geography (e.g., rural/urban), social and/or economic class,

age, education, religion, livelihood, family status, displacement, and disability. These markers of exclusion intersect and compound each other—access to natural and material resources, including land and water, livestock, employment, self-employment, business development, credit facilities, and wealth creation opportunities depend, to varying degrees, on whether an individual is: a man, a woman, a minority group man or woman, an IDP or a young man, as well as clan kinship network and increasingly, what form of Islam one follows (Musse and Gardner, 2013). These dimensions of social vulnerability compound climate vulnerability.

IDPs are especially vulnerable to the effects of climate events, such as drought and flooding.

The estimated 3.9 million people who were internally displaced in Somalia at the end of 2023 are among the poorest people in the country. Displacement can also compound the effects of drought in areas where IDPs choose to settle by increasing competition for scarce resources (Figure 7.4). They faced higher risks during the pandemic, especially because of the limited space in temporary shelters and internal displacement camps.

Somalia's socio-economic indicators are among the lowest in the world for both males and females, but gender disparities are especially stark. The Gender Inequality Index for Somalia is 0.776 (1.0 = complete inequality), and the country performs particularly poorly on health, empowerment, and economic measures. For almost two decades now, women's incomes have become crucial for household survival, irrespective of whether there is a male individual within the household. Nonetheless, women continue to be excluded from political and public decision-making and have limited space (even at the community level) to exercise agency and participate in society. Despite having played an especially dynamic role in Somali society as community mobilizers and peace builders,

Figure 7.4: Violence, food insecurity, and internal displacement across Somalia

Source: NUPI and SIPRI 2022 based on data from ACLED, Africapolis and Natural Earth.

women and girls are assigned social and legal status within the clan system, and confront multiple dimensions of disempowerment and discrimination across most categories of social, economic, and human development (Musse and Gardner, 2013).

All forms of vulnerability are deeply gendered, with women and girls confronting significant gender disparities, including high levels of sexual and gender-based violence. Although both Somali men and women are reliant on climate-sensitive economic activities such as agriculture, livestock, and fisheries, women are more likely to be engaged in subsistence-level production, providing over 60 percent of the labor. Consequently, their livelihood and food security are more sharply affected by climate-induced downturns in production (Somalia Institute for Development Research and Analysis, 2019). Women are also more likely to engage in agricultural value chains that require less land and capital due to gender-inequitable inheritance laws, as well as limited collateral availability compared with men. They are less mobile and less likely to employ productive inputs or utilize available extension services. Women have weak land tenure rights and limited access to extension services, and

the most valuable agricultural assets (land and livestock) are primarily owned by men. In times of crisis, such as the current ongoing drought, men migrate looking for pastures and water for their livestock or move to urban centers looking for work. Women remain at home with children and the elderly, sometimes moving to IDP camps or to small towns for petty trading. While the aim of these strategies is to access resources and security, in practice they expose women to additional security threats (World Bank and FAO, 2018).

Youth face critical challenges of unemployment, underemployment, and the absence of sustainable livelihood opportunities more generally. Almost 2 million youth under age 25 live in displacement due to violence, conflict, and extreme weather events across Somalia (IDMC, 2022). About 76 percent of displaced boys and 71 percent of displaced girls are enrolled in schools (IDMC, 2020). Displaced children with disabilities face an additional burden in enrolling in schools and receiving needs-specific support (IDMC, 2021). Many vulnerabilities intersect and compound each other; a young female IDP belonging to a minority clan is likely to be disadvantaged on multiple counts.

7.6 Climate, Fragility and Conflict

Resource scarcity and displacement are the two major pathways through which climate change shapes social fragility and conflict. About 40 percent of all intrastate conflicts can be linked to the exploitation of natural resources (UNEP, 2021). There is growing evidence that links increased temperatures and drought to conflict risk in Africa, particularly in populations that depend on agriculture and natural resources.

In Somalia, climate crises have historically been influenced by political factors—specifically, conflict and political instability (Maxwell and Majid, 2016). In particular, the shape and intensity of competition over natural resources has been formed by Somalia's climate and continues to be affected by climate change. This in turn has influenced the social divisions and hierarchies, and the political economies that have driven conflict.

Control of its scarce arable land has been closely connected to power in Somalia's recent political history in ways that intersect with climate change (Jaspars, Adan and Majid, 2019). During the Barre military junta government in the 1970s and early 1980s, there was intensive cash cropping in the fertile land along and between the rivers, relying on cheap and exploitable labor. After state collapse in the late 1980s, clan-based militias fought for control over resources. Competing claims of ownership are also common in urban areas, frequently over land that was once public or either looted or vacated by fleeing households (RVI and HIPS, 2017). The history of nationalizing land has allowed for patronage between the state and influential clan members and political elites, while marginalizing vulnerable groups such as those living in displacement and increasing conflict (Deherez, 2009).

Small-scale conflict over land resources is widespread in Somalia and is considered to aggravate the existing resource scarcity and humanitarian crisis (Thulstrup et al., 2020). Protracted land-based conflicts have also weakened customary natural resource management systems, rendering traditional dispute resolution mechanisms ineffective or disempowered (Vivekananda et al., 2019). Customary law has become an ineffective tool to settle the growing number of resource conflicts, often driven by extreme weather and becoming increasingly complex and virulent. In such situations, shifts in resource access and competition have a high potential to both escalate into violent conflict and to further degrade the resource base. It is widely accepted that the combined social impacts of climate and conflict contribute to maintaining weak institutions and governance in Somalia, which in turn exacerbates or at least perpetuates conflict. While there is little clear evidence of internal displacement leading directly to increased conflict, it exacerbates general vulnerability and erodes local conflict-management institutions.

Al-Shabaab has exploited crises and vulnerabilities linked to climate impacts in ways that drive further fragility. High youth unemployment associated with shocks and displacement is also believed to have contributed to al-Shabaab recruitment (UNDRR, 2022; El-Bushra and Gardner, 2016). During a key period of al-Shabaab control of southern Somalia (2006–12), it also exploited charcoal production that drove the loss of over 7 percent of remaining forest (Rembold et al., 2013), while earning it US\$38–US\$56 million, strengthening its ability to both conduct attacks and expand recruitment (Dek, 2021; Ujunwa et al., 2021). Even following a charcoal export ban, Kismayo port is alleged to be a major conduit for illegal charcoal, involving local businesspersons, political leaders in the Jubaland administration, al-Shabaab, and units of AMISOM (Majid and Abdirahman, 2021). These further drives land degradation and vulnerability to climate impacts.

8. Integrating Climate Considerations into Somalia's Development

Somalia has made progress in developing a climate policy framework, but more work is needed to mainstream climate in sector policies and strategies. Climate and disaster risk management in Somalia is increasingly featured within the national conversation around political stabilization and development trajectories. The core Somalia climate change policy documents recognize Somalia's dire climate status and reference its ranking as one of the world's most vulnerable countries. Somalia's Ninth National Development Plan 2020–2024 (NDP9) identifies environmental and climate change as one of the most critical drivers of poverty, linked to food insecurity and reliance on food imports. It identifies a direct correlation between increasing frequency of climate emergencies and displacement, and calls for improving the resilience of the traditional livestock and crop production subsectors, while diversifying away from climate-dependent sectors to achieve climate-proof economic growth. However, most policies and initiatives remain very high level. Considerable work is still required to develop policy frameworks that mandate or incentivize specific priority actions and to build institutions capable of implementing, enforcing, and monitoring these. Other challenges impeding adaptation include the law-and-order situation, an unstable bureaucracy, and ineffective capacity development, coupled with significant climate finance needs. Given the high degree of uncertainty around medium- and longer-term climate outcomes in Somalia, it will be important to prioritize responses to current and immediate, rather than to uncertain future, conditions. Moreover, given very limited financial resources in relation to the scale of needs, it is critical that national development planning should be informed by climate risks, and adaptation planning needs to be focused around key growth sectors.

Climate adaptation and development cannot be separated in Somalia; neither can one succeed without the other. This will require working on two overall priorities in parallel: (i) managing the impact of climate disasters, so they do not torpedo development; and (ii) climate-proofing development for economic growth and diversification away from inherently vulnerable sectors. In the first area, DRM, social safety nets, and providing for more resilient rural livelihoods and production systems are key. For the second, it will be imperative to support the development of livable cities supported by resilient infrastructure and services, as well as sustainable human capital growth through addressing increasing climate health stressors. Given a wide range of important climate risks that Somalia faces, the lists of relevant measures are extensive. Most are already cited in Somalia's Nationally Determined Contribution (NDC). More detailed work on key sectors and risks will be needed to identify and prioritize specific interventions and investment options, and to assess their economic, social, and environmental feasibility.

For adaptation for the agriculture sector with respect to water storage and irrigation, we recommend the FGS to: (i) invest in soil and water conservation infrastructure such as terraces, subsurface dams, and rainwater harvesting; (ii) invest in upgrading and expanding irrigation in the Juba and Shabelle river basins (as irrigated agriculture is a key component to ensuring national food security; and (iii) incorporate a requirement to enhance rainwater harvesting through water ponds for both livestock and wildlife in large linear infrastructure projects (e.g., roads, fiber-optic cables).

Most adaptation priorities in Somalia are focused on addressing the acute challenges caused by current climate conditions, and are inherently no-regrets,¹¹ but the risk of maladaptation must be taken seriously.

Managing the impacts of climate disasters is largely about responding to current extreme climate conditions, whether this involves building DRM systems or adopting more sustainable agricultural and rangeland management approaches. Many investments to support resilient development, whether providing flood-resistant infrastructure or investing in human capital, will also respond mainly to current climate conditions, especially where they support general adaptability or infrastructure that has a relatively short economic life. The priority interventions discussed below are overwhelmingly no-regrets. However, to avoid maladaptation long-term investment decisions should be supported by sensitivity analysis for a range of climate outcomes, and/or by using other tools to support decision-making under uncertainty. In particular, this includes major and long-lived infrastructure investments whose performance will depend on future rainfall, and spatial planning. Maladaptation may involve suboptimal investments (e.g., a large water storage project when smaller distributed structures would have been more cost-effective), ineffective investment (e.g., a water storage structure no longer fit for purpose because the rainfall is either much lower or higher than predicted), or harmful investments (e.g., a water storage structure that is causing more losses to downstream users than local benefits). Decisions on where to invest resources in either rural or urban development should consider the risk of livelihoods becoming non-viable or that extremely expensive defensive structures would be required. These are particularly important considerations for transport network development and urban planning.

Climate adaptation in Somalia must be rooted in efforts to disrupt the linkages between climate, social fragility, and conflict.

This requires a do-no-harm approach, i.e., interventions to address one dimension of the problem should not exacerbate another, by employing social risk management tools informed by the social and political context. Peacebuilding and mediation need to be informed by climate and security risks, including through appropriate social and climate screening. Ensuring that women, youth, disadvantaged clans, and other vulnerable groups have full and equitable representation in the adaptation planning process is key to avoiding adverse social impacts of climate investments. Wherever possible, win-win solutions should be identified to address both the climate and social dimensions of risk in tandem, so climate adaption efforts are pro-peace and peacebuilding initiatives support climate adaptation.

Climate adaptation investment will need to be undertaken by the state, as well as private individuals and companies.

The role of the state is critical in facilitating farmers, property-owners, and businesses to act in their own best interests through providing appropriate climate information, technical guidance, incentives, and regulatory requirements. The largest public investments will probably be in infrastructure (e.g., transport, power supply, and urban development), where the primary objective will rarely be climate focused, but climate resilience will need to be built in, in accordance with climate-informed planning and design specifications, typically at some significant incremental cost.

¹¹ No Regrets strategies are based on concepts and measures that can begin to be enacted now without being certain about all dimensions of future climate change. Measures are taken and strategies are thus adopted in a precautionary sense with the aim of responding to possible negative impacts before they intensify. Such measures are advisable for future generations, but also relevant to enhancing the living conditions of people in the present.

8.1 Resilience to and Preparedness for Extreme Climate Events

A priority of the FGS is to strengthen national crisis preparedness and response capacities, and to link these more closely with nationally-owned recovery and development planning processes. Following the inauguration of a new federal government in mid-2022, the decision was made to abolish the Ministry of Humanitarian Affairs and Disaster Management and to consolidate (under Law No. 17) the national emergency response and preparedness function in a re-constituted Somalia Disaster Management Agency (SODMA). Under the new arrangement, SODMA is responsible for the oversight and coordination of the entire national DRM function, including early warning, disaster preparedness, disaster response (including displacement), and the development of durable solutions to displacement. In this capacity, SODMA houses both the National Emergency Operations Center (NEOC) and the Multi-Hazard Early Warning Center, and is required to maintain active relations with relevant ministries, departments and agencies (MDAs) at the federal level, and with disaster management agencies within the five FMSs and the Benadir Regional Administration (Mogadishu).

The Government's federal and state-level DRM capacities interact directly with the UN-led humanitarian system that, through the humanitarian planning process, coordinates the delivery of most emergency assistance in Somalia. In this way, SODMA is a member of the Humanitarian Country Team (HCT) and federal ministries participate in various UN-led cluster (technical) working groups. Similarly, state-level DRM agencies are members of "Area HCTs" and technical ministries will participate in local cluster working groups. There are no equivalent coordination structures for early warning or preparedness.

The NEOC is at an early stage in its establishment and, while work has started on an office building, it is currently without dedicated accommodation nor a full complement of staff. Using the World Bank's Ready2Respond diagnostic tool, the FGS and the World Bank commissioned an assessment of national emergency preparedness and response (EP&R) capacity in Somalia. This includes nearly US\$77 million in investment needs, which has informed millions of dollars of ongoing capacity support to SODMA/NEOC.

Somalia lacks a nationally-owned and managed emergency alert and early warning system. Currently, early warnings are produced by the Food and Agriculture Organization (FAO) Somalia Water and Land Information Monitoring (SWALIM), the Food Security and Nutrition Analysis Unit (FSNAU), and the Famine and Early Warning Systems Network (FEWS NET). Seasonal climate outlook information is provided by the Inter-Governmental Authority on Development Climate Prediction and Application Center. While progress has been made to strengthen hydrology and meteorology (hydromet) and early warning services over the past decade, these services are still fragmented and not integrated into government institutions. Somalia still lacks a nationally unified and coordinated hydromet service. In addition, the limited capacity of the Government in translating and disseminating hydromet information is inhibiting users' access and uptake of early warning information, and thus rarely results in mitigative actions. Based on the strategic assessment of hydromet services conducted with the FGS, led by the Hydromet Working Group (HWG) and other development partners (notably FAO-SWALIM, UNDP, and regional partners including the IGAD Climate Prediction and Applications Center [ICPAC]), the implementation of the first phase of its investment plan was initiated. A National Hydromet Policy was developed under the

supervision of the HWG. However, recently a new Hydromet Bill has been introduced and is still under discussion, which appears to be at odds with the National Hydromet Policy.

Resilient rural livelihoods

- **Soil and water conservation/agroforestry/rangeland management.** Most on-farm measures would primarily be private actions, but public funding would still be needed to facilitate large-scale uptake of adaptation measures by individual farmers. This would include public investment in: (i) demonstration sites and extension services; (ii) support to community institutions; (iii) digital and physical market access infrastructure; and (iv) potentially large-scale subsidy, payment for environmental service, or labor-intensive public works schemes.
- **Sustainable rural energy provision.** This would include training and support for switching to alternative energy sources, efficient stoves, and regulation and management of wood fuel supply chains.
- **Protection and management of key natural habitats.** This would include the establishment and management of terrestrial and coastal protected areas, and active restoration of critical habitats, such as protective forests, nursery grounds, wetlands, key biodiversity areas, and ecological corridors (especially across altitudinal and climate gradients).

Investment in water infrastructure will support both DRM and resilient rural livelihoods.

- **Water storage and irrigation infrastructure.** Small-scale schemes, such as subsurface dams and farmer-led irrigation are proving effective.
- **Flood defenses for critical locations.** To avoid displacement, which causes disruptions across the socio-economic spectrum, mechanisms can be implemented to defend against flooding.

Supporting policy actions

- a. Introducing selection of more resilient crops/ varieties/breeds, their effective cultivation/ husbandry, pest and disease control, and improved land and water management techniques.
- b. Extending extension support (including digital agricultural services encompassing agri-forecasts, climate-smart practices and market information and linkages) and guidance to agriculture marketing and value chains.
- c. Developing feed and fodder trade to assist pastoralists in the timing of livestock sales.
- d. Improving post-harvest handling, processing, and storage to improve sanitary and quality standards (and therefore export markets).
- e. Establishing policy frameworks and support to local and community institutions for natural resource management and sustainable resource-based livelihoods.
- f. Mainstreaming forest and biodiversity concerns in policy development and investment planning within key sectors.
- g. Establishing integrated water resource management planning systems and institutions to support farmer-led irrigation, flood control, soil and water conservation, and the management of key river basins.

8.2 Build Resilience into Somalia's Development

Resilient infrastructure and livable cities

Somalia is urbanizing rapidly with an estimated 54 percent of the population living in cities already. Close to 75 percent of Somalia's 2.6 million IDPs are thought to be living in cities. If managed well, urbanization can help Somalia to develop faster and further. Global evidence shows that, on average, for every 1 percent increase in urbanization, GDP per capita grows by 4 percent. If Somalia fails to meet the needs of growing urban populations, however, its modest successes and wider stability could be undermined.

- **Climate-smart public investment management:** This includes resilient construction standards and the establishment of national building codes covering public infrastructure (ports, roads, water, and energy supply), and private construction and services, together with climate-smart public investment management. Given financial constraints and resource scarcity, suboptimal investments (e.g., a large water storage project when smaller distributed structures would have been more cost-effective), ineffective investment (e.g., a water storage structure no longer fit for purpose because the rainfall is either much lower or higher than predicted), or harmful investments (e.g., a water storage structure that is causing more losses to downstream users than local benefits) need to be avoided at all costs.
- **Resilient urban development and livable cities.** Urban development needs to go beyond reactive construction standards to encompass: (i) climate-smart urban development to reduce disaster risks; (ii) ensure sustainable energy, transport, and water services; and (iii) include green spaces and efficient cooling to manage urban heat island effects.
- **Flood and drought-resilient WASH infrastructure.** In the longer run, the viability of desalination to supply water to coastal cities may also need to be assessed.
 - a. Adapting climate-informed spatial planning, including planning for resilience of key infrastructure networks, resilient urban planning, and rural land use planning.
 - b. Clearly demarcate responsibilities between national, state, and district or municipal authorities, including financing arrangements.
 - c. Strengthen the tenure security of IDPs/informal settlers by (semi) formalizing currently informal settlements. Curb

illegal land grabbing by non-state actors by establishing a mechanism to legally expropriate land in the public interest and provide fair compensation to affected persons.

- d. Establish a sound regulatory environment for third-party service delivery by taking stock of current rules governing the private sector and their incremental improvement, consulting with providers to ensure their buy-in, and training communities in their rights as consumers.
- e. Nurture the informal economy by articulating the minimum regulatory standards for informal businesses. Invest in human capital through improved education and vocational training. Invest in major corridors, ports and access to electricity to foster private sector growth.
- f. Adopting climate-smart public investment management systems, including tools for screening and identifying climate risk in investment appraisal.

Investing in public health for resilient human development

- a. Managing risks of heat stress and floods by employing health and safety regulations for public buildings (especially schools and medical facilities) and workspaces.
- b. Introducing post-disaster emergency health provision (e.g., mobile clinics, screening and prevention programs) in coordination with broader disaster response architecture and institutions.
- c. Establishing vector control programs, including active control programs, infrastructure standards, and public awareness.
- d. Undertaking public health awareness campaigns on: heat stress; water, sanitation, and hygiene (WASH); vector-borne disease; and post-disaster health and safety.



8.3 Accessing Finance for Climate Adaptation Related Activities

Climate finance for both adaptation and climate resilient development is limited in Somalia.

Even though the country's 2021 NDC to the UNFCCC states climate finance needs of US\$5.5 billion a year (equivalent to US\$55.5 billion between 2021 and 2030), current inflow stands at just over US\$300 million a year, representing just 6 percent of need (SPARC, 2023). However, it is important to understand that this figure for climate finance needs is unrealistic, especially given Somalia's size. Compared with Somalia's GDP of US\$7.6 billion, an annual investment of US\$5.5 billion is not technically feasible. Vast resources are needed to help Somalia adapt to climate change and address the famine that the country has faced since 2020. This means that access to, and the effectiveness of, finance for climate-related activities is fundamental.

Of the five sources of climate finance—international vertical funds (e.g., GCF, GEF), carbon finance, Official Development Assistance (ODA), domestic revenue, and private investment—ODA and private investment are likely to remain the key sources for Somalia in the foreseeable future. Although steps to increase concessional funding from the vertical climate funds (VCFs) are of course very welcome, finance from such funds represents a small flow to Somalia compared with bilateral finance and finance from multilateral

development banks (MDBs). The Green Climate Fund (GCF), the Adaptation Fund and the Global Environmental Fund (GEF) account for only 1 percent of the total finance going toward climate-related activities in Somalia (based on 2019 and 2020 data from the OECD DAC database). Bilateral financial providers and MDBs currently provide 51 and 35 percent, respectively, of the climate finance to Somalia. However, most bilateral finance is allocated to meet humanitarian needs related to the famine crisis, such as food security. Humanitarian actions do not necessarily address medium- or longer-term climate risks that will arise due to climate change interacting with demographic and economic shifts. This continued focus on short-term needs without understanding the implications of various interventions for medium- and long-term climate change risk management can perpetuate a dependence on humanitarian finance and deter efforts to promote climate-resilient and risk-informed development. Bilateral funding is also uncertain and volatile. Although it involves greater discretion on the part of donors compared with VCF funding, bilateral funding depends on the thematic and political priorities of the donor countries, which often change. Furthermore, bilateral donors may prefer to allocate finance to countries with a stable investment climate, where the returns may be higher. Funding for climate change adaptation in Somalia is not always a priority for bilateral donors.

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Addressing Climate Change Challenges for Economic Growth

Economic prospects for Somalia are improving although the pace of economic growth remains modest. The economy rebounded in 2023 as the country emerged from the severe 2020–23 drought and the 2022 global commodity price shocks. Favorable rains starting in April 2023 led to improved agricultural production, boosted exports recovery, reduced food insecurity, and served to support private consumption. Similarly, inflationary pressures have eased, and the fiscal performance has improved. Medium term outlook remains positive, with economic growth set to accelerate, albeit at a modest pace as significant risks remain, including global economic shocks, climate-related shocks, and security threats.

Somalia achieved a historic debt relief milestone in December 2023, eliminating the debt burden that had plagued the country for over three decades. In the post-Heavily Indebted Poor Countries (HIPC) environment, the country now has expanded opportunities to finance investments in development priorities and expand basic service delivery. Nevertheless, the government must continue taking important steps to avoid falling back into debt distress.

Somalia faces a multitude of climate risks that pose serious threats to its future economic development, industrialization, trade, and urban development. Frequent shocks including repeated climate-related events, such as cycles of droughts, floods, and locust infestations, have interrupted the country's economic trajectory and exacerbated poverty levels. Moreover, climate-induced displacements, heightened conflicts over scarce natural resources, and increased vulnerability among marginalized groups like rural populations, women, and youth exacerbate the country's fragility. Addressing climate challenges and risks is essential for building resilience and sustainable economic growth.

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